

**Waterloo Community School District
Waterloo, Iowa**

**Annual Comprehensive
Financial Report**

For the Fiscal Year Ended June 30, 2025

**Waterloo Community School District
Waterloo, Iowa**

**Annual Comprehensive
Financial Report**

For the Fiscal Year Ended June 30, 2025

**Submitted By: Financial Services
J.T. Anderson, Chief Financial Officer**

Waterloo Community School District

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November 17, 2025

To the Board of Education and Citizens Waterloo Community School District

State law requires that all general-purpose local governments publish a complete set of financial statements presented in conformity with accounting principles and auditing standards generally accepted within the United States of America. Pursuant to that requirement, we hereby formally issue and transmit the annual comprehensive financial report (ACFR) for Waterloo Community School District for the fiscal year ended June 30, 2025.

This report consists of management's representations concerning the finances of Waterloo Community School District. Consequently, management assumes full responsibility for the completeness and reliability of all the information presented in this report. To provide a reasonable basis for making these representations, management of Waterloo Community School District has established a comprehensive internal control framework that is designed both to protect the District's assets from loss, theft or misuse and to compile sufficient reliable information for the preparation of Waterloo Community School District's financial statements in conformity with accounting principles generally accepted in the United States of America (GAAP). Because the cost of internal controls should not outweigh their benefits, Waterloo Community School District's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

BerganKDV, Ltd., a firm of licensed certified public accountants, has audited Waterloo Community School District's financial statements. The goal of the independent audit was to provide reasonable assurance that the financial statements of Waterloo Community School District for the fiscal year ended June 30, 2025, are free of material misstatement. The independent audit involved examining on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that Waterloo Community School District's financial statements for the fiscal year ended June 30, 2024, are fairly presented in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report.

The independent audit of the financial statements of Waterloo Community School District was part of a broader, federally mandated "Single Audit" designed to meet the special needs of federal grantor agencies. The standards governing Single Audit engagements require the independent auditor to report not only on the fair presentation of the financial statements, but also on the audited government's internal controls and compliance with legal requirements involving the administration of federal awards. These reports are available in Waterloo Community School District's separately issued compliance report.

GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion' and Analysis (MD&A). This letter of transmittal is designed to complement MD&A and should be read in conjunction with it. Waterloo Community School District's MD&A can be found immediately following the report of the independent auditors.

Profile of Waterloo Community School District

Waterloo Community School District is governed by a seven-member elected Board of Education who serve four-year terms. The Board of Education is a policy-making and planning body whose decisions are carried out by school administrators. Waterloo Community School District is the eighth largest of Iowa's public schools. The certified enrollment is 10,812 students. Enrollment is expected to decline for the 2025-2026 school year due to recent legislative changes to open enrollment and education savings accounts for private school instruction. Waterloo Community School District operates a total of two regular high schools, one alternative high school, one Career Technical Education Center, four middle schools, eleven elementary schools and various preschool locations. School buildings range in age from over 90 years old to a few years old. All facilities are in excellent condition as a rigorous maintenance schedule is followed. Waterloo Community School District provides a full range of educational services appropriate to students in early childhood and grades kindergarten through twelve. These services include regular and enriched academic education, special education for children with special needs, career technical education center and numerous individualized programs such as specialized instruction for at-risk students, for limited-English-speaking students and the International Baccalaureate program.

This report includes all funds of Waterloo Community School District. The District has no material component units and is not a component of another entity. The District provides a full range of services including instructional, administrative, transportation, food service, maintenance of sites and facilities, custodial, clerical, extra-curricular, co-curricular athletic and community education.

Waterloo Community School District maintains budgetary controls. The objective of these budgetary controls is to ensure compliance with legal provisions embodied in the annual appropriated budget approved by the Board of Education. Activities of the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund are included in the annual appropriated budget. The level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is established at the function level for all funds combined rather than at the individual fund level. During the year ended June 30, 2025, Waterloo Community School District exceeded the amount budgeted in the function areas of Instruction and Support Services, but did not exceed its general fund unspent authorized budget.

Annually, Waterloo Community School District's Board of Education adopts a budget and approves the appropriations for the general fund, debt service fund, special revenue funds, capital projects fund and enterprise fund in accordance with provisions outlined in the Statutes of the State of Iowa. The budgets are prepared on a modified accrual basis. During the fiscal year, monthly financial reports are prepared comparing the budget to actual receipts and disbursements of the various funds.

Relevant Financial Policies

Waterloo Community School District operates under the laws as defined in the *Code of Iowa* and policies as determined by the local Board of Education. A comprehensive accounting system is promulgated by the Iowa Department of Education including account numbers for revenue and expenditures by function and object. The District additionally tracks revenue by source of funds and expenditures by location, curricular program, and funding source. Annual budgets are provided to the Department of Management and annual financial reports are provided to the Iowa Department of Education in their prescribed formats. Periodic financial reports are submitted to the Iowa Department of Education or other granting agencies for many federal and state grants.

Waterloo Community School District's Board of Education takes its fiduciary responsibility very seriously. It has adopted policies defining a budgeting process, financial reporting, purchasing, facilities planning, insurance and cash management. Idle cash is invested in Board-approved allowable investments which include certificates of deposit, money markets, pooled investment trusts and obligations of the United States Treasury or its agencies. A quarterly investment report is provided indicating performance of investments to a comparative benchmark.

Pandemic Federal Funding

In fiscal year 2021-22, the district experienced unprecedented federal financial support to recover from the effects of the Covid 19 pandemic. Funding to cover health and safety needs, technology needs, and student instructional support was enacted by congress. Waterloo qualified and received over \$52 million by June 2024. This funding enabled the district to initiate and continue necessary efforts to address student achievement needs, technology upgrades, staff retention efforts and student and staff health and safety with facility sanitation practices.

Local Economy And Economic Outlook

The economic condition and outlook of Waterloo Community School District has declined in recent years due to enrollment fluctuations, low state supplemental aid growth, underfunded mandates like special education and ELL, loss of federal funding, legislative changes to open enrollment, high inflation, and labor market pressures. Waterloo Community School District's total taxable property valuation declined during the 1980's to \$1,520,527,165 in 1989-90. Since then, the total taxable property valuation has risen to \$2,789,663,709 in 2024-2025. However, the taxable valuation has been impacted by state mandated rollback in taxable valuation. The taxable valuation is currently 47.4316% of the assessed valuation for property. Commercial property is taxed at currently 47.4316% of the first \$150,000 assessed and then 90% of the remaining valuation. The valuation of commercial property is approximately 30% of district property.

Long-Term Financial Planning

Waterloo Community School District is located in Black Hawk County. The state collects a statewide tax in all of Iowa's counties and distributes that tax based on student enrollment in each public school district. This funding is now known as secure an advanced vision for education (SAVE). All ninety-nine counties in Iowa currently have the one-cent tax for school districts. The Iowa legislature has enacted the program as permanent throughout the state, rather than individually by county. Community input as well as professional analysis has been taken into consideration for the overall plan of construction and remodeling. Retail sales have remained relatively stable the past several years. SAVE funding has continued to increase annually.

Major Initiatives

In 2023, voters of the District approved an increase of the property, plant, and equipment property tax levy (PPEL) from \$0.67 per \$1,000 valuation to \$1.34 per \$1,000 taxable valuation. This new levy rate will begin in fiscal 2028 and extend ten years through fiscal year 2037. The levy passed with 71% approval.

For the 2015-2016 school year, Waterloo West and East High Schools were initially approved and continue as International Baccalaureate (IB) Schools. IB Schools have access to high-quality programs of education, which support development of knowledgeable and inquiring students, professional development that supports effective educators and collaborative professional learning communities and a worldwide network of highly respected 18 Schools working together to share best practice.

It is the District's quest to provide the best education for their students and ensure each child has a promising and fulfilling future. The District is seeking an expanded opportunity for their high schools by enhancing offerings in the area of career and technical education and by reengaging students at higher levels while setting them on a course to be better prepared for life after high school. The District is achieving this by implementing the following initiatives:

The District has implemented 25 career and technical education programs in phases over the past several years and has remodeled and expanded the Central Middle School facility to house these career and technical education programs.

Awards And Acknowledgements

Waterloo Community School District received the Certificate of Excellence in Financial Reporting from the Association of School Business Officials (ASBO) for the twenty-eighth consecutive year for the fiscal year ended June 30, 2024. Upon recommendation of the Association's Panel of Review, which has judged that the report substantially conforms to principles and standards of ASBO's Certificate of Excellence Program, we are submitting this report to ASBO to determine its eligibility for another certificate.

The preparation of this report on a timely basis could not have been accomplished without the efficient and dedicated efforts of the Financial Services staff of Waterloo Community School District. We would like to express our appreciation to all who assisted and contributed to this report with a special thanks to Nancy Schulzetenberg, CPA of BerganKDV, Ltd and the audit team. Also, appreciation is expressed for the interest and support of the Board of Education in conducting the financial operations of the District in a most responsible and progressive manner.



J.T. Anderson
Chief Financial Officer

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Waterloo Community School District
Award of Financial Reporting Achievement



The Certificate of Excellence in Financial Reporting
is presented to

Waterloo Community School District
for its Annual Comprehensive Financial Report
for the Fiscal Year Ended June 30, 2024.

The district report meets the criteria established for
ASBO International's Certificate of Excellence in Financial Reporting.



A handwritten signature in black ink, reading 'Ryan S. Stechschulte'.

Ryan S. Stechschulte
President

A handwritten signature in black ink, reading 'James M. Rowan'.

James M. Rowan, CAE, SFO
CEO/Executive Director

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**Waterloo Community School District
District Administration
June 30, 2025**

Dr. Jared Smith	Superintendent of Schools
Sam Kreassig	Chief Officer of Human Resources and Equity
JT Anderson	Chief Financial Officer/Treasurer
Jeff Frost	Executive Director of Professional Education
Sheena Canady	Director of Student & At-Risk Services
Matt O'Brien	Director of Technology
Dan Huff	Director of Athletics, Activities and Safety
Jen Hartman	Director of Elementary Education
Megan Allen	Director of Special Education
Zach Kelly	Director of Operational Services
Emily Frederick	Director of School and Community Relations
Amy Schmidt	Executive Director of Teaching & Learning
Dana Harskamp	Director of School Improvement
Josh Johnson	Director of Secondary Education
Gina Weekley	Director of Equity, Inclusion & Belonging
Byron Phillips	Principal, East High
Dr. Andrew Miehle	Principal, West High
Cary Wieland	Principal, Expo Alternative Learning Center
Zach O'Brien	Principal, Bunger Middle School
Joshua Payton	Principal, Carver Academy
Zach Zimmerman	Principal, Central Middle School
Tom Harskamp	Principal, Hoover Middle School
Brandy Welch	Principal, Becker Elementary
Mikayla Montgomery	Principal, Cunningham School for Excellence
Matthew Willand	Principal, Highland Elementary
Cora Turner	Principal, Irving Elementary
Jana Elliott	Principal, Kingsley Elementary
Cassandra Hart	Principal, Kittrell Elementary
Ryan Christoffer	Principal, Lincoln Elementary
Jake Young-Kent	Principal, Lou Henry Elementary
Carrie Heinzerling	Principal, Lowell Elementary
Ross Bauer	Principal, Orange Elementary
Jennifer Willand	Principal, Poyner Elementary
Dr. Charletta Sudduth	Early Childhood Coordinator
Tim Moses	Assistant Principal/Athletic Director, East High
Robert Griffin	Assistant Principal, East High
Michael Penning	Assistant Principal, East High
Sharrie Wright	Assistant Principal, East High
Allison Hildman	Assistant Principal, West High
Wade Timmins	Assistant Principal, West High
Steve Winters	Assistant Principal, West High
Brian Ortman	Assistant Principal, West High
Tom Ulises	Athletic Director, West High
Henry Shepherd	Assistant Principal, Expo Alternative Learning Center
Ben Barnett	Assistant Principal, Carver Academy
Anthony Thomas	Assistant Principal, Bunger Middle School
Ashley Reimer	Assistant Principal, Bunger Middle School
Steen Anderson	Assistant Principal, Carver Academy

**Waterloo Community School District
District Administration
June 30, 2025**

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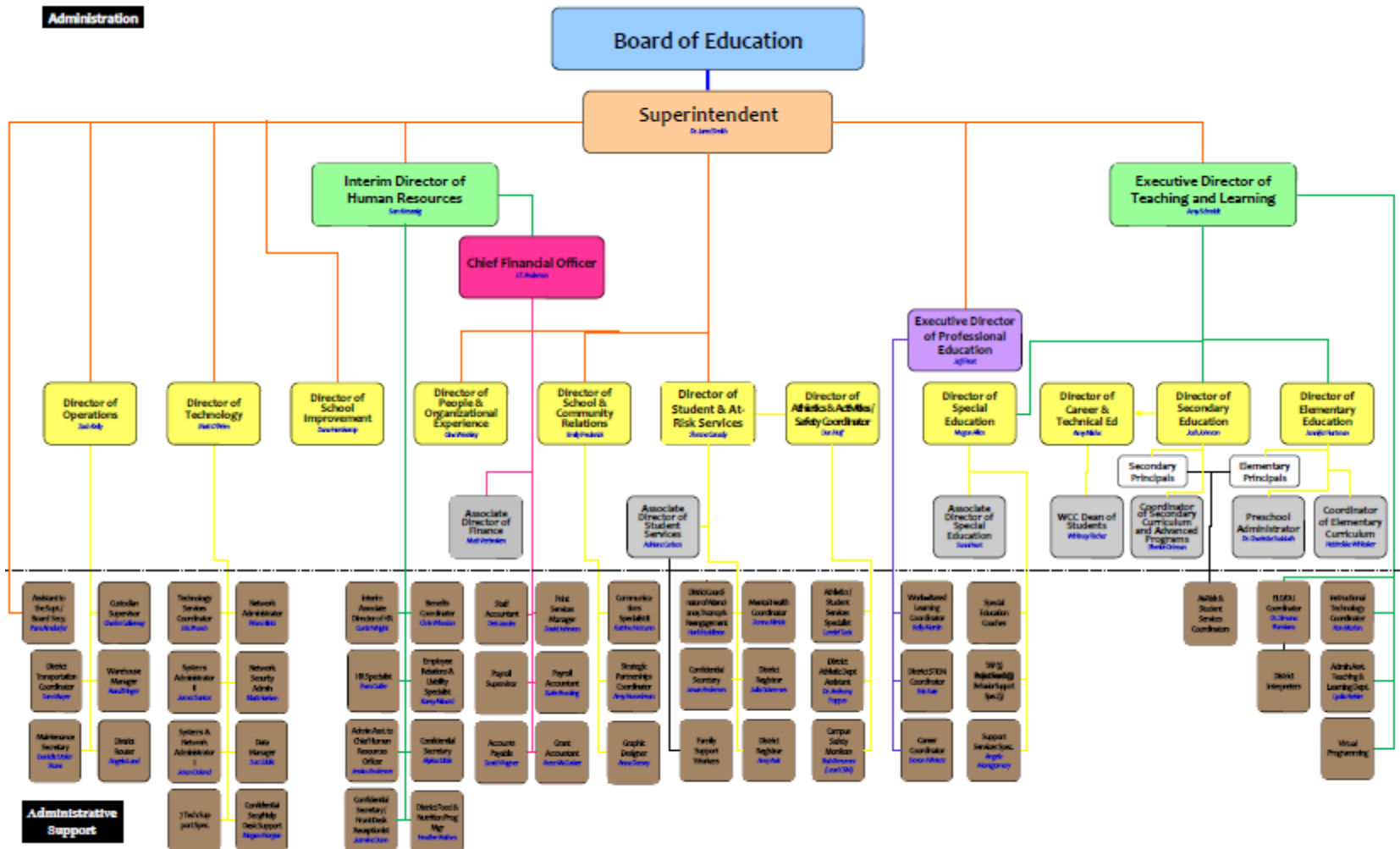
Mike Thomas	Assistant Principal, Central Middle School
Mike Landers	Assistant Principal, Central Middle School
Lori Netty	Assistant Principal, Hoover Middle School
Danielle Hakeman	Assistant Principal, Hoover Middle School
Daniel Sale	Assistant Principal, Hoover Middle School
Lindsay Heyins	Assistant Principal, Cunningham School for Excellence
Amy Miehe	Administrator, Waterloo Career Center

**Waterloo Community School District
Board of Education and Administration
June 30, 2025**

<u>Board of Education</u>	<u>Position</u>	<u>Term Expires</u>
Astor Williams	President	November 2025
Lyle Schmitt	Vice President	November 2027
Janelle Ewing	Board Member	November 2025
Krystal Madlock	Board Member	November 2025
Jesse Knight	Board Member	November 2027
Jonathan Cox	Board Member	November 2027
Stacie Mills	Board Member	November 2027
 <u>School Officials</u>		
Dr. Jared Smith	Superintendent	Indefinite
Pam Arndorfer	District Secretary	2026
JT Anderson	District Treasurer	2026
Steve Weidner	Attorney	Indefinite

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**Waterloo Community School District
Organizational Chart
June 30, 2025**



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FINANCIAL SECTION

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Independent Auditor's Report

To the School Board
Waterloo Community School District
Waterloo, Iowa

Report on the Audit of the Financial Statements

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of and for the year ended June 30, 2025, and the related notes to the basic financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

In our opinion, the accompanying financial statements referred to in the first paragraph present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Waterloo Community School District, Waterloo, Iowa, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof, for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Waterloo Community School District, Waterloo, Iowa and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Basic Financial Statements

The management of Waterloo Community School District is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, which raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis, which follows this report letter, and Required Supplementary Information as listed in the Table of Contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board (GASB), who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying supplementary information identified in the Table of Contents is presented for purposes of additional analysis and is not a required part of the basic financial statements.

Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the Annual Comprehensive Financial Report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 14, 2025, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

BerganKDV, Ltd.

St. Cloud, Minnesota
November 14, 2025

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Waterloo Community School District Management's Discussion and Analysis

Waterloo Community School District provides this management's discussion and analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with the District's financial statements, which follow this narrative overview and analysis.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of Waterloo Community School District exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by \$132,959,536.
- The General Fund cash, cash equivalents, cash with fiscal agent, accounts receivable, due from other governments and investments decreased 48.1% to \$17,096,940 and the General fund balance decreased to (\$6,803,307).
- The State of Iowa granted a 2.50% state supplementary aid [SSA] previously known as allowable growth increase for fiscal year 2025 and previously 3.0% for 2024, 2.50% for 2023, 2.4% for 2022, and 2.03% for 2021. As a general rule, an SSA allowable growth rate of 4-6% is required to fully maintain the budget with no program reductions. The past history of the allowable growth rate set between 1% and 3% has posed many challenges to the District's educational delivery system.
- Local Option Sales and Services Tax (LOSST) was a one-cent sales tax approved by county that began in 1999. The state of Iowa replaced LOSST with a statewide tax. Secure an Advanced Vision for Education (SAVE) is a state one-cent sales tax that was initially approved by the State Legislature to be in effect through 2029. The 2019 State Legislature extended SAVE to the year 2050. The state extension guarantees longevity and the ability to maintain a Facility Improvement Plan with the added ability for the District to bond against the proceeds without increasing property taxes.
- Since the original LOSST/SAVE funding began in fiscal year 1999-2000, the District has constructed ten new elementary schools, one new middle school, extensively remodeled two elementary schools, created the Waterloo Career Center, and completed other significant projects.

Walter Cunningham School of Excellence	2001-2002	New Building
East High School	2001-2002	Commons Area
West High School	2001-2002	Commons Area
Irving Elementary	2002-2003	New Building
Bunger Middle School	2003-2004	Classrooms Addition
Lincoln Elementary	2003-2004	New Building
Lou Henry Elementary	2004-2005	New Building
Hoover Middle School	2004-2005	Classrooms Addition
Kingsley Elementary	2005-2006	Remodel Building
Lowell Elementary	2004-2008	Remodel Building
Poyner Elementary	2006-2007	New Building
East High School	2006-2007	Auditorium Project
West High School	2006-2007	Locker Room Project
East High School	2007-2008	Locker Room Project
West High School	2008-2009	Auditorium Project
George Washington Carver Academy	2008-2009	New Building

**Waterloo Community School District
Management's Discussion and Analysis**

FINANCIAL HIGHLIGHTS (CONTINUED)

Kittrell Elementary School	2008-2009	New Building
Highland Elementary School	2008-2009	New Building
Expo Alternative Education Center	2010-2011	Remodel Building
Kittrell Early Childhood Center	2010-2011	Remodel Building
West High School	2011-2012	Remodel Classrooms
Fred Becker Elementary	2011-2012	New Building
Orange Elementary	2012-2013	New Building
Hoover Middle School	2012-2014	Music and Commons Area
Bus Garage/Technology Offices	2014-2015	Remodel Buildings
Waterloo Career Center	2015-2020	Remodel Building
Lowell Elementary	2020-2022	New Building
Waterloo Career Center	2021-2024	Building Expansion
Central Middle School	2022-2024	Building Remodel

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

Management's discussion and analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.

The government-wide financial statements consist of a statement of net position and a statement of activities. These provide information about the activities of Waterloo Community School District as a whole and present an overall view of the District's finances.

The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Waterloo Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining financial statements provide information about activities for which Waterloo Community School District acts solely as a custodian for the benefit of those outside of the District.

Notes to the financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

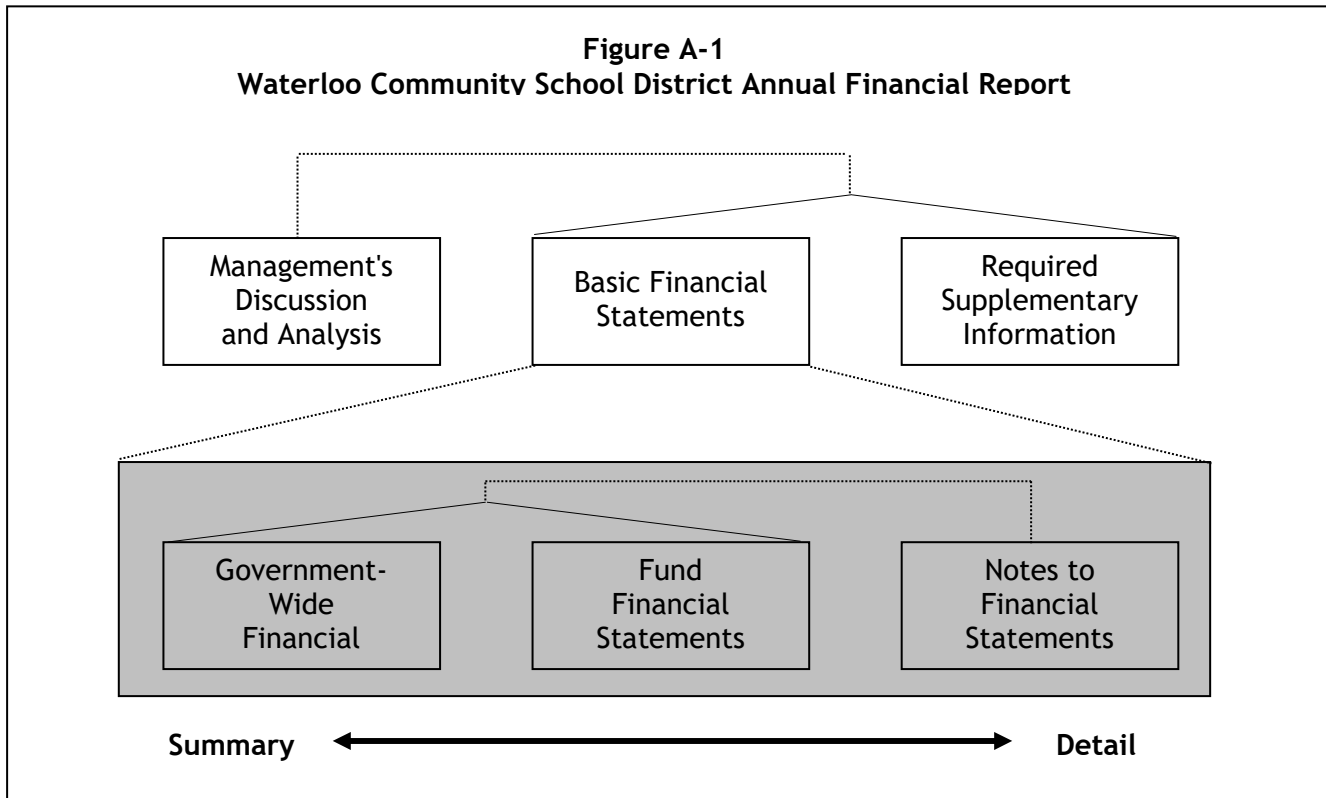
Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the schedule of changes in total OPEB liability for the retiree health plan.

Supplementary information provides detailed information about the nonmajor governmental funds.

**Waterloo Community School District
Management's Discussion and Analysis**

USING THIS ANNUAL REPORT (CONTINUED)

Figure A-1 shows how the various parts of this annual report are arranged and relate to one another.



Waterloo Community School District Management's Discussion and Analysis

USING THIS ANNUAL REPORT (CONTINUED)

Figure A-2 summarizes the major features of the District's financial statements, including the portion of the District's activities they cover and the types of information they contain.

Figure A-2 Major Features of the Government-Wide and Fund Financial Statements				
	Government-Wide Statements	Fund Statements		
		Governmental Funds	Proprietary Funds	Fiduciary Funds
Scope	Entire District (except fiduciary funds)	The activities of the District that are not proprietary or fiduciary, such as special education and building maintenance	Activities the District operates similar to private businesses: food services and internal services	Instances in which the District administers resources on behalf of someone else, such as scholarship programs and agency monies
Required financial statements	• Statement of net position • Statement of activities	• Balance sheet • Statement of revenue, expenditures and changes in fund balances	• Statement of net position • Statement of revenue expenses, and changes in fund net position • Statement of cash flows	• Statement of fiduciary net position • Statement of changes in fiduciary net position
Accounting basis and measurement focus	Accrual accounting and economic resources focus	Modified accrual accounting and current financial resources focus	Accrual accounting and economic resources focus	Accrual accounting and economic resources focus
Type of asset/liability information	All assets and liabilities, both financial and capital, short-term and long-term	Generally assets expected to be used up and liabilities that come due during the year or soon thereafter; no capital assets or long-term liabilities included	All assets and liabilities, both financial and capital and short-term and long-term	All assets and liabilities, both short-term and long-term; funds do not currently contain capital assets, although they can
Type of deferred outflow/inflow information	Consumption/acquisition of net assets that is applicable to a future reporting period	Consumption/acquisition of fund balance that is applicable to a future reporting period	Consumption/acquisition of net assets that is applicable to a future reporting period	Consumption/acquisition of net assets that is applicable to a future reporting period
Type of inflow/outflow information	All revenue and expenses during year, regardless of when cash is received or paid	Revenue for which cash is received during or soon after the end of the year; expenditures when goods or services have been received and the related liability is due during the year or soon thereafter	All revenue and expenses during the year, regardless of when cash is received or paid	All additions and deductions during the year, regardless of when cash is received or paid

Waterloo Community School District Management's Discussion and Analysis

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The statement of net position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenue and expenses are accounted for in the statement of activities, regardless of when cash is received or paid.

The two government-wide financial statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional nonfinancial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities, need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

- *Governmental Activities:* Most of the District's basic services are included here, such as regular and special education, transportation, and administration. Property tax and state aid finance most of these activities.
- *Business-Type Activities:* The District charges fees to help cover the costs of certain services it provides. The District's school nutrition program is included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds - not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds or to show it is properly using certain revenue such as federal grants.

The District has three kinds of funds:

1. *Governmental Funds:* Most of the District's basic services are included in governmental funds, which generally focus on (a) how cash and other financial assets that can readily be converted to cash flow in and out and (b) the balances left at year end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

Waterloo Community School District Management's Discussion and Analysis

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES (CONTINUED)

Fund Financial Statements (Continued)

1. *Governmental Funds (Continued)*: The District's governmental funds include the General Fund, the Special Revenue Funds, the Debt Service Fund, and the Capital Projects Fund.

The required financial statements for governmental funds include a balance sheet and a statement of revenue, expenditures, and changes in fund balances.

2. *Proprietary Funds*: Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's enterprise fund, one type of proprietary fund, is the same as its business-type activities, but provides more detail and additional information, such as cash flows. The District's enterprise fund is the School Nutrition Fund. Internal service funds, the other type of proprietary fund, are optional and available to report activities that provide supplies and services for other District programs and activities. The District's internal service fund is the Print Shop Fund.

The required financial statements for proprietary funds include a statement of net position, a statement of revenue, expenses and changes in fund net position and a statement of cash flows.

3. *Fiduciary Funds*: The District is the trustee, or fiduciary, for assets that belong to others. These funds include the Private-Purpose Trust and Custodial Funds.

The Private-Purpose Trust Fund is used to account for outside donations for scholarships for individual students.

The Custodial Fund is used to account for assets held by the District as a custodian for individuals and committees within the District for various designated purposes.

The District is responsible for ensuring that the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a statement of fiduciary net position and a statement of changes in fiduciary net position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Figure A-3 below provides a summary of the District's net position as of June 30, 2025, compared to June 30, 2024.

**Figure A-3
Condensed Statement of Net Position**

	Governmental Activities		Business- Type Activities		Total District		
	June 30,		June 30,		June 30,		
	2025	2024	2025	2024	2025	2024	Percent Change
Assets							
Current and Other Assets	\$ 186,695,968	\$ 109,019,312	\$ 3,915,845	\$ 3,766,779	\$ 190,611,813	\$ 112,786,091	69.00%
Capital assets	221,674,476	211,261,932	432,420	400,849	222,106,896	211,662,781	4.93%
Total assets	408,370,444	320,281,244	4,348,265	4,167,628	412,718,709	324,448,872	27.21%
Deferred Outflows of Resources	15,329,877	20,397,468	363,754	486,536	15,693,631	20,884,004	-24.85%
Total assets and deferred outflows of resources	\$ 423,700,321	\$ 340,678,712	\$ 4,712,019	\$ 4,654,164	\$ 428,412,340	\$ 345,332,876	24.06%
Liabilities							
Current Liabilities	\$ 55,377,768	\$ 32,147,041	\$ 196,178	\$ 179,743	\$ 55,573,946	\$ 32,326,784	71.91%
Long-term liabilities	185,222,463	129,332,299	1,298,962	1,546,969	186,521,425	130,879,268	42.51%
Total liabilities	240,600,231	161,479,340	1,495,140	1,726,712	242,095,371	163,206,052	48.34%
Deferred Inflows of Resources	53,252,429	43,344,033	105,004	71,077	53,357,433	43,415,110	22.90%
Net Position							
Net investment in capital assets	139,125,912	139,769,197	432,420	400,849	139,558,332	140,170,046	-0.44%
Restricted	36,235,020	30,178,970	-	-	36,235,020	30,178,970	20.07%
Unrestricted	(45,513,271)	(34,092,828)	2,679,455	2,455,526	(42,833,816)	(31,637,302)	35.39%
To Total net position	129,847,661	135,855,339	3,111,875	2,856,375	132,959,536	138,711,714	-4.15%
Total liabilities, deferred inflows of resources and net position	\$ 423,700,321	\$ 340,678,712	\$ 4,712,019	\$ 4,654,164	\$ 428,412,340	\$ 345,332,876	24.06%

The District's total net position decreased 4.2%, or \$5,752,178, from the prior year. The primary reason for the decrease was due to the decrease in the General Fund fund balance related to operations.

The largest portion of the District's net position is invested in capital assets (e.g., land, buildings, and equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets. The primary reason for the increase in Capital Assets is the additions of Central Middle School offset by continued depreciation/amortization on existing assets.

Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased \$6,056,050, or 20.1%, over the prior year due to operations of the debt service fund.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Unrestricted net position - the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements - decreased \$11,196,514, or 35.4%. The decrease in unrestricted net position was primarily a result of a decrease in the General Fund balance related to operations.

Figure A-4 shows changes in net position for the year ended June 30, 2025, compared to year ended June 30, 2024.

**Figure A-4
Changes in Net Position**

	Governmental Activities		Business-Type Activities		Total District		Percent Change
	2025	2024	2025	2024	2025	2023	
Revenues							
Program revenues							
Charges for services	\$ 3,371,915	\$ 4,308,394	\$ 170,699	\$ 144,126	\$ 3,542,614	\$ 4,452,520	-20.44%
Operating grants and contributions and restricted interest	34,428,381	31,596,844	7,776,643	7,873,527	42,205,024	39,470,371	6.93%
Capital grants and contributions and restricted interest	4,157,920	873,364	-	-	4,157,920	873,364	376.08%
General revenues							
Property tax	41,622,989	39,130,491	-	-	41,622,989	39,130,491	6.37%
Statewide sales, services and use tax	14,194,731	14,059,279	-	-	14,194,731	14,059,279	0.96%
Unrestricted state and federal grants	82,627,589	78,207,391	-	-	82,627,589	78,207,391	5.65%
Unrestricted investment earnings	1,384,654	2,713,342	84,782	136,455	1,469,436	2,849,797	-48.44%
Total revenues	181,788,179	170,889,105	8,032,124	8,154,108	189,820,303	179,043,213	6.02%
Program Expenses							
Instruction	117,705,822	112,359,723	-	-	117,705,822	112,359,723	4.76%
Support services	59,114,898	57,164,456	-	-	59,114,898	57,164,456	3.41%
Noninstructional programs	1,385,529	1,165,590	7,331,024	7,209,009	8,716,553	8,374,599	4.08%
Other	10,035,208	8,841,923	-	-	10,035,208	8,841,923	13.50%
Total expenses	188,241,457	179,531,692	7,331,024	7,209,009	195,572,481	186,740,701	4.73%
Change in net position before transfers	(6,453,278)	(8,642,587)	701,100	945,099	(5,752,178)	(7,697,488)	25.27%
Transfers	445,600	348,834	(445,600)	(348,834)	-	-	N/A
Change in net position	(6,007,678)	(8,293,753)	255,500	596,265	(5,752,178)	(7,697,488)	25.27%
Beginning of year net position	135,855,339	140,338,550	2,856,375	2,260,110	138,711,714	142,598,660	-2.73%
Change in accounting principle	-	3,810,542	-	-	-	3,810,542	N/A
Beginning of year net position, restated	135,855,339	144,149,092	2,856,375	2,260,110	138,711,714	146,409,202	-5.26%
End of year net position	\$ 129,847,661	\$ 135,855,339	\$ 3,111,875	\$ 2,856,375	\$ 132,959,536	\$ 134,901,172	-1.44%

In fiscal year 2025, property tax and unrestricted state and federal grants accounted for 76.2% of governmental activities revenue while charges for service and operating grants, contributions and unrestricted interest accounted for 100% of business-type activities revenue. The District's total revenue was approximately \$189.8 million, of which approximately \$181.8 million was for governmental activities and \$8.0 million was for business-type activities.

As shown in Figure A-4, the District as a whole experienced a 6.0% increase in revenue and a 4.7% increase in expenses. The overall change in revenue was due to increased donations received for capital projects. The increase in expenses is primarily due to increases in salaries and benefits as well as increased transportation costs due to a new transportation contract.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Governmental Activities

Revenue for governmental activities was \$181,788,179 and expenses were \$188,241,457, which amounted to a decrease in net position of \$6,007,678 for the year ended June 30, 2025.

The following table presents the total and net cost of the District's major governmental activities: instruction, support services, non-instructional programs and other expenses for the year ended June 30, 2025, compared to the year ended June 30, 2024.

**Figure A-5
Total and Net Cost of Governmental Activities**

	Total Cost of Service			Net Cost of Service		
	2025	2024	Percentage Change	2025	2024	Percentage Change
Instruction	\$ 117,705,822	\$ 112,359,723	4.76%	\$ 86,442,013	\$ 82,252,790	5.09%
Support services	59,114,898	57,164,456	3.41%	49,277,904	51,291,947	-3.93%
Non-instructional programs	1,385,529	1,165,590	18.87%	1,385,529	1,165,590	18.87%
Other	10,035,208	8,841,923	13.50%	9,177,795	8,042,763	14.11%
Total	\$ 188,241,457	\$ 179,531,692	4.85%	\$ 146,283,241	\$ 142,753,090	2.47%

For the year ended June 30, 2025:

- The cost financed by users of the District's programs was \$3,371,915.
- Federal and state governments and private entities subsidized certain programs with grants and contributions totaling \$38,586,301.
- The net cost of governmental activities was financed with \$55,817,720 in property and other taxes, \$82,627,589 in unrestricted state and federal grants and \$1,384,654 in unrestricted investment earnings.

Business-Type Activities

Revenue for business-type activities during the year ended June 30, 2025, was \$8,032,124, representing a 1.5% decrease over the prior year due to a decrease in the number of meals served, while expenses totaled \$7,331,024, a 1.7% increase over the prior year due increased salaries and benefits. The District's business-type activities include the School Nutrition Fund. Revenue of these activities was comprised of charges for service, federal and state reimbursements and grants and investment earnings.

- Charges for service represent 2.1% of total revenue for fiscal years 2025. This represents the amount paid by students/staff for daily food service.

Waterloo Community School District Management's Discussion and Analysis

GOVERNMENT-WIDE FINANCIAL ANALYSIS (CONTINUED)

Business-Type Activities (Continued)

- Federal and state operating grants, included reimbursement for meals, payments for free and reduced lunches, commodities provided to the District and other miscellaneous grants, totaled \$7,776,643, or 96.8%, of total revenue. This is reflective of the District's transition to the Community Eligibility Program that results in more students receiving meals at no cost.

INDIVIDUAL FUND ANALYSIS

As previously noted, Waterloo Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

As the District completed the year, its governmental funds reported combined fund balances of \$107,349,540, an increase of \$63,666,278 from last year's ending fund balances of \$43,683,262. The primary reason for the increase in combined fund balances at the end of fiscal year 2025 was due to current year bond issuances. Revenue increased from the prior year; \$10,537,781, or 6.2% due to increased regular program district cost per pupil as well as an increase in the property tax levy. Expenditures increased 7.5% due to increased capital project costs.

Governmental Fund Highlights

The General Fund is the chief operating fund of the District. At the end of fiscal year 2025, unassigned fund balance of the General Fund was (\$8,325,333) while total fund balance decreased from \$13,495,379 at the end of fiscal year 2024 to (\$6,803,307) the end of fiscal year 2025.

The General Fund balance decreased by \$20,298,686, during the current fiscal year. The primary reasons for this decrease was decreases in funding received in 2025 as well as increased costs for transportation.

The Debt Service Fund balance increased from \$24,302,490 at the end of fiscal year 2024 to \$34,958,876 at the end of fiscal year 2025. Current year expenditures included bond interest and fiscal charges and principal payments. The increase in fund balance is primarily related to the use of the sinking fund to hold QSCB Bond payments until the full bond is mature.

The Capital Projects Fund balance increased from \$2,579,991 as of June 30, 2024, to \$76,287,525 as of June 30, 2025. Revenues increased due to receiving increased donations. Expenditures increased in the current year primarily due to the construction of the high school. Transfers to the Debt Service Fund increased due to the increased debt payment requirements and there was a large bond issuance in 2025.

Proprietary Fund Highlights

School Nutrition Fund net position was \$3,111,875 as of June 30, 2025. Revenue decreased primarily due to fewer meals served. Expenses increased due to increased salary and benefit costs.

Waterloo Community School District Management's Discussion and Analysis

BUDGETARY HIGHLIGHTS

In accordance with state law, the school board annually adopts a budget following the public notice and hearing requirements. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The District adopts a budget in April for the following year and at the same time considers a budget amendment for expenditures for the current year. The District did not amend its original budget for fiscal year 2025.

A schedule showing the original and final budget amounts compared to the District's actual financial activity is provided in this report as required supplementary information.

The District's total revenue was \$69,309 less than total budgeted revenue, a variance of 0.0%, primarily due to receiving less state and federal aid than anticipated.

Total expenditures were \$34,089,074 less than total budgeted expenditures, a variance of 13.7%, primarily due to the construction project not completed to anticipated levels.

The certified budget was not exceeded in any area, other than instruction and support services, during the year and the District's total spending authority was not exceeded.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

As of June 30, 2025, the District had invested \$222,106,896, net of accumulated depreciation/amortization, in a broad range of capital assets, including land, buildings and improvements, land improvements, right to use equipment, equipment, furniture and construction in progress. (See Figure A-6). This represents a net increase of 4.9% from last year. More detailed information about the District's capital assets is presented in Note 5 to the financial statements. Depreciation/amortization expense was \$8,267,678 for Governmental Activities and \$80,406 for Business-Type Activities.

The original cost of the District's capital assets was approximately \$342.9 million. Governmental funds account for approximately \$339.0 million with the remainder of approximately \$3.9 million accounted for in the Proprietary, School Nutrition Fund.

Figure A-6
Capital Assets, Net of Depreciation/Amortization

	Governmental Activities		Business-Type Activities		Total District		Percentage Change
	June 30,		June 30,		June 30,		
	2025	2024	2025	2024	2025	2024	
Land	\$ 5,576,585	\$ 5,488,085	\$ -	\$ -	\$ 5,576,585	\$ 5,488,085	1.61%
Construction in progress	15,909,340	34,498,892	-	-	15,909,340	34,498,892	-53.88%
Buildings and improvements	185,919,111	156,164,239	-	-	185,919,111	156,164,239	19.05%
Improvements other than buildings	4,000,632	4,396,337	-	-	4,000,632	4,396,337	-9.00%
SBITA assets	96,860	267,269	-	-	96,860	267,269	N/A
Furniture and equipment	10,171,948	10,447,110	432,420	400,849	10,604,368	10,847,959	-2.25%
Total	\$ 221,674,476	\$ 211,261,932	\$ 432,420	\$ 400,849	\$ 222,106,896	\$ 211,662,781	4.93%

**Waterloo Community School District
Management's Discussion and Analysis**

CAPITAL ASSETS AND DEBT ADMINISTRATION (CONTINUED)

Capital Assets (Continued)

The increase in capital assets was primarily related to current year additions exceeding current year depreciation/amortization.

Construction in progress as of June 30, 2024, included:

- Central Middle School
- Various other projects

Construction in progress as of June 30, 2025, included:

- High School
- Various other projects

Long-Term Debt

As of June 30, 2025, the District had \$157,147,612 of total long-term debt outstanding. This represents an increase of 112.5% from last year. (See Figure A-7) Additional information about the District's long-term debt is presented in Note 6 to the financial statements.

The Constitution of the State of Iowa limits the amount of debt districts can issue to 5% of the assessed value of all taxable property within the District. The District's outstanding debt is significantly below its constitutional debt limit of approximately \$267.7 million.

**Figure A-7
Outstanding Long-Term Debt**

	Total District		Percent Change
	June 30, 2025	2024	
Revenue bonds	\$ 153,251,539	\$ 71,251,539	115.1%
SBITA payable	100,633	187,266	46.3%
Unamortized bond premium	3,795,440	2,529,790	50.0%
Total	<u>\$ 157,147,612</u>	<u>\$ 73,968,595</u>	<u>112.5%</u>

Waterloo Community School District Management's Discussion and Analysis

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- A primary economic challenge facing Waterloo Schools is the residual impacts of the COVID-19 pandemic. The district is navigating a dynamic environment shaped by multiple factors: student enrollment trends, labor market conditions, staff recruitment and retention, competitive compensation, facility maintenance, and the availability of state and federal funding. In addition, the broader economic landscape—characterized by inflation, resource shortages, and supply chain challenges—continues to place pressure on district operations. With CARES and ESSER funding having ended after the 2022-2023 school year, the district is now actively implementing strategic budgeting measures to stabilize finances, reduce expenses, and sustain educational services in the current year and beyond.
- In 2018 the Iowa State Legislature enacted significant changes to Iowa Code Chapter 20: Collective Bargaining, which stripped out most areas of mandatory subjects of bargaining. The Consumer Price Index also limits bargaining. Waterloo Community School District adopted the changes of Iowa Code Chapter 20 and moved the majority of contract language to an Employee Handbook with the commitment of future nonmandatory contract considerations being addressed by District leadership and volunteer staff committees. Since then, annual salary increases have been 3.0% to 4.5% with an additional mid-year adjustment in 2021-22 necessitated by the staff retention needs.
- In the spring of 2022, the Iowa Legislature passed a significant change to student open enrollment laws. The change addressed the long-standing condition of the law that districts could manage the number of students leaving a home district to attend a neighboring district, which was accomplished through application timelines and home district approval conditions. The 2022 law adjustment eliminated application timelines and the need for rationale to qualify. As a result of this legislation, Waterloo Schools has experienced an increase in the number of students open enrolling out to other school districts.
- In 2023, the Iowa Legislature passed the Education Savings Account (ESA) program. Iowa's Education Savings Account (ESA) program allows state per-pupil funds to follow students who choose private rather than public schools, expanding to all K-12 students by 2025-26. As more families use ESAs, public schools lose corresponding state funding while many of their costs—such as staffing, facilities, and programs—remain fixed. This shift is already contributing to declining school enrollment in Waterloo and increasing budget strain.
- Since 2013, the District has worked to create a 21st-century high school system centered on Career and Technical Education (CTE) to serve students and local industries in the Cedar Valley. CTE programs began in 2017 with Nursing/Health Careers and Digital Graphics, housed in a remodeled section of Central Middle School—now the Waterloo Career Center (WCC). From 2016-2021, the District phased in 18 CTE programs, with over 1,000 students now attending annually. A major renovation and expansion of the facility began in 2021, and in the 2024-2025 school year, five additional programs were added to bring the total to 23.

Waterloo Community School District Management's Discussion and Analysis

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE (CONTINUED)

- During the 2023-2024 school year, the District Board of Education approved a \$165,000,000 project to renovate Central Middle School and make it into a new high school. This new high school will be connected to the WCC and create the first high school in the state with a CTE center attached to it. Funding for the project is coming through the issuance of Sales Tax bonds. The project broke ground in June 2025 and is expected to be completed, and students would begin to attend the facility for the 2028-2029 school year. The new high school will accommodate 10th through 12th grade students. The two existing high school buildings, East High and West High, will be converted to schools accommodating 8th and 9th grade students. The other three current middle schools, Bunger, Carver and Hoover will accommodate 6th and 7th grade students.
- In summary, the District's financial position has been negatively affected by enrollment fluctuations, low state supplemental aid growth, underfunded mandates like special education and ELL, loss of federal funding, legislative changes to open enrollment, high inflation, and labor market pressures. These challenges have caused unspent authority and fund balance metrics to fall below Board Policy minimums. To address this, the District is implementing a multi-year budget reduction plan, including staff cuts, and has increased property taxes to stabilize its cash position.

Regardless of any challenges, the Waterloo Community School District is committed to our mission:

"The Waterloo Schools will set the standard for urban education by ensuring that every student is given the comprehensive support and diverse experiences needed to graduate with a diploma and a plan."

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions or need additional financial information, contact J.T. Anderson, Chief Financial Officer, Waterloo Community School District, 1516 Washington Street, Waterloo, IA 50702.

BASIC FINANCIAL STATEMENTS

Waterloo Community School District
Statement of Net Position
June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Cash and investments	\$ 129,446,271	\$ 2,231,120	\$ 131,677,391
Cash with fiscal agent	121,260	-	121,260
Receivables			
Property tax - delinquent	388,736	-	388,736
Property tax - succeeding year	49,204,395	-	49,204,395
Accounts receivable	669,349	-	669,349
Internal balances	(1,599,851)	1,599,851	-
Due from other governmental units	7,050,081	50,630	7,100,711
Inventory	220,621	34,244	254,865
Prepaid items	1,195,106	-	1,195,106
Capital assets, net of accumulated depreciation/amortization	200,188,551	432,420	200,620,971
Capital assets not being depreciated	21,485,925	-	21,485,925
Total assets	<u>408,370,444</u>	<u>4,348,265</u>	<u>412,718,709</u>
Deferred Outflows of Resources			
Deferred amount on refunding	966,164	-	966,164
Deferred outflows related to OPEB	1,841,016	47,923	1,888,939
Deferred outflows related to pensions	12,522,697	315,831	12,838,528
Total deferred outflows of resources	<u>15,329,877</u>	<u>363,754</u>	<u>15,693,631</u>
 Total assets and deferred outflows of resources	<u>\$ 423,700,321</u>	<u>\$ 4,712,019</u>	<u>\$ 428,412,340</u>
Liabilities			
Accounts and contracts payable	\$ 4,725,036	\$ 15,904	\$ 4,740,940
Salaries and benefits payable	21,403,005	138,513	21,541,518
Interest payable	1,092,506	-	1,092,506
Due to other governmental units	4,019,471	-	4,019,471
Unearned revenue	-	25,676	25,676
Net bond principal payable			
Due within one year	22,864,539	-	22,864,539
Due in more than one year	134,182,440	-	134,182,440
SBITA payable			
Due within one year	100,633	-	100,633
Compensated absences and early retirement payable			
Due within one year	554,663	-	554,663
Total OPEB liability			
Due within one year	617,915	16,085	634,000
Due in more than one year	14,436,325	375,790	14,812,115
Net pension liability - due in more than one year	36,603,698	923,172	37,526,870
Total liabilities	<u>240,600,231</u>	<u>1,495,140</u>	<u>242,095,371</u>
Deferred Inflows of Resources			
Property tax levied for succeeding year	49,204,395	-	49,204,395
Deferred inflows related to OPEB	3,591,815	93,498	3,685,313
Deferred inflows related to pensions	456,219	11,506	467,725
Total deferred inflows of resources	<u>53,252,429</u>	<u>105,004</u>	<u>53,357,433</u>
Net Position			
Net investment in capital assets	139,125,912	432,420	139,558,332
Restricted for			
Categorical funding	129,750	-	129,750
Debt service	31,394,498	-	31,394,498
School infrastructure	1,530,444	-	1,530,444
Physical plant and equipment	273,882	-	273,882
Student activities	1,437,001	-	1,437,001
Management levy purposes	1,469,445	-	1,469,445
Unrestricted	(45,513,271)	2,679,455	(42,833,816)
Total net position	<u>129,847,661</u>	<u>3,111,875</u>	<u>132,959,536</u>
 Total liabilities, deferred inflows of resources, and net position	<u>\$ 423,700,321</u>	<u>\$ 4,712,019</u>	<u>\$ 428,412,340</u>

Waterloo Community School District
Statement of Activities
Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues			Net (Expenses), Revenue, and Changes in Net Position		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities							
Instruction							
Regular	\$ 70,990,166	\$ 580,915	\$ 19,944,451	\$ -	\$ (50,464,800)	\$ -	\$ (50,464,800)
Special	40,411,450	1,894,540	6,976,433	-	(31,540,477)	-	(31,540,477)
Vocational	3,341,816	-	623,961	-	(2,717,855)	-	(2,717,855)
Other	2,962,390	826,519	416,990	-	(1,718,881)	-	(1,718,881)
Support Services							
Student	7,721,737	3,369	-	-	(7,718,368)	-	(7,718,368)
Instructional staff	5,827,151	-	4,481,568	-	(1,345,583)	-	(1,345,583)
General administration	4,099,880	-	-	-	(4,099,880)	-	(4,099,880)
School administration	9,885,164	-	-	-	(9,885,164)	-	(9,885,164)
Business and central administration	5,830,543	1,562	53,274	-	(5,775,707)	-	(5,775,707)
Operation and maintenance of plant	15,101,761	65,010	-	-	(15,036,751)	-	(15,036,751)
Transportation	8,968,541	-	1,074,291	-	(7,894,250)	-	(7,894,250)
Facilities acquisition	1,680,121	-	-	4,157,920	2,477,799	-	2,477,799
Noninstructional programs	1,385,529	-	-	-	(1,385,529)	-	(1,385,529)
Interest on long-term debt	3,172,904	-	857,413	-	(2,315,491)	-	(2,315,491)
Unallocated depreciation - excluding direct depreciation of other programs	6,862,304	-	-	-	(6,862,304)	-	(6,862,304)
Total governmental activities	188,241,457	3,371,915	34,428,381	4,157,920	(146,283,241)	-	(146,283,241)
Business-type activities							
Noninstructional programs							
Food service operations	7,331,024	170,699	7,776,643	-	-	616,318	616,318
Total	\$ 195,572,481	\$ 3,542,614	\$ 42,205,024	\$ 4,157,920	(146,283,241)	616,318	(145,666,923)
General revenues							
Taxes							
Property taxes, levied for general purposes					34,044,624	-	34,044,624
Property taxes, levied for management levy purposes					4,062,419	-	4,062,419
Property taxes, levied for capital outlay					3,515,946	-	3,515,946
Unrestricted statewide sales, services, and use tax					14,194,731	-	14,194,731
Unrestricted state and federal grants					82,627,589	-	82,627,589
Unrestricted investment earnings					1,384,654	84,782	1,469,436
Transfers					445,600	(445,600)	-
Total general revenues and transfers					140,275,563	(360,818)	139,914,745
Change in net position					(6,007,678)	255,500	(5,752,178)
Net position - beginning					135,855,339	2,856,375	138,711,714
Net position - ending					\$ 129,847,661	\$ 3,111,875	\$ 132,959,536

See notes to basic financial statements.

Waterloo Community School District
Balance Sheet - Governmental Funds
June 30, 2025

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Assets					
Cash and investments	\$ 11,489,670	\$ 34,958,876	\$ 79,903,801	\$ 3,093,924	\$ 129,446,271
Cash with fiscal agent	34,260	-	-	87,000	121,260
Receivables					
Property tax - delinquent	309,281	-	45,125	34,330	388,736
Property tax - succeeding year	42,492,429	-	3,511,960	3,200,006	49,204,395
Accounts receivable	11,765	-	618,340	20,687	650,792
Due from other governmental units	5,561,245	-	1,488,675	161	7,050,081
Due from other funds	1,224,373	-	-	-	1,224,373
Inventory	197,169	-	-	-	197,169
Prepaid items	1,195,106	-	-	-	1,195,106
Total assets	\$ 62,515,298	\$ 34,958,876	\$ 85,567,901	\$ 6,436,108	\$ 189,478,183
Liabilities					
Accounts and contracts payable	\$ 1,272,676	\$ -	\$ 3,322,187	\$ 130,173	\$ 4,725,036
Salaries and benefits payable	21,401,154	-	-	1,851	21,403,005
Due to other governmental units	4,019,471	-	-	-	4,019,471
Due to other funds	-	-	2,446,229	197,632	2,643,861
Total liabilities	26,693,301	-	5,768,416	329,656	32,791,373
Deferred Inflows of Resources					
Unavailable revenue - succeeding year property tax	42,492,429	-	3,511,960	3,200,006	49,204,395
Unavailable revenue - other	132,875	-	-	-	132,875
Total deferred inflows of resources	42,625,304	-	3,511,960	3,200,006	49,337,270
Fund Balances					
Nonspendable for					
Inventory	197,170	-	-	-	197,170
Prepaid items	1,195,106	-	-	-	1,195,106
Restricted for					
Categorical funding	129,750	-	-	-	129,750
Debt service	-	34,958,876	-	-	34,958,876
School infrastructure	-	-	76,013,643	-	76,013,643
Physical plant and equipment	-	-	273,882	-	273,882
Management levy purposes	-	-	-	1,469,445	1,469,445
Student activities	-	-	-	1,437,001	1,437,001
Unassigned	(8,325,333)	-	-	-	(8,325,333)
Total fund balances	(6,803,307)	34,958,876	76,287,525	2,906,446	107,349,540
Total liabilities, deferred inflows of resources, and fund balances	\$ 62,515,298	\$ 34,958,876	\$ 85,567,901	\$ 6,436,108	\$ 189,478,183

**Waterloo Community School District
Reconciliation of the Balance Sheet to
the Statement of Net Position - Governmental Funds
June 30, 2025**

Total fund balances - governmental funds	\$ 107,349,540
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not current financial resources and, therefore, are not reported as assets in governmental funds:	
Cost of capital assets	339,010,076
Less accumulated depreciation/amortization	(117,335,600)
Long-term liabilities at year-end consist of:	
Bond principal payable	(153,251,539)
Bond premiums	(3,795,440)
SBITA Payable	(100,633)
Compensated absences payable	(554,663)
Total OPEB liability	(15,054,240)
Net pension liability	(36,603,698)
Deferred outflows of resources and deferred inflows of resources are created as a result of various differences related to pensions, OPEB and long-term liabilities that are not recognized in the governmental funds:	
Deferred outflows related to pensions	12,522,697
Deferred inflows related to pensions	(456,219)
Deferred inflows related to OPEB	(3,591,815)
Deferred outflows related to OPEB	1,841,016
Deferred amount on refunding	966,164
Other long-term assets will be collected in subsequent years, and do not meet the revenue recognition requirements in the governmental funds.	132,875
An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position and interfund activity is removed.	(138,354)
Governmental funds do not report a liability for accrued interest on bonds until due and payable.	<u>(1,092,506)</u>
Total net position - governmental activities	<u><u>\$ 129,847,661</u></u>

Waterloo Community School District
Statement of Revenues, Expenditures, and
Changes in Fund Balances - Governmental Fund
Year Ended June 30, 2025

	General (10)	Debt Service (40)	Capital Projects	Nonmajor Funds	Total Governmental Funds
Revenues					
Revenue from local sources					
Local property taxes	\$ 33,092,270	\$ -	\$ 3,433,494	\$ 3,945,672	\$ 40,471,436
Tuition	935,256	-	-	-	935,256
Other local and county revenues	1,462,367	564,570	2,762,535	1,260,162	6,049,634
Revenue from state sources	106,146,529	-	14,277,183	116,747	120,540,459
Revenue from federal sources	11,310,255	-	1,239,989	-	12,550,244
Total revenues	<u>152,946,677</u>	<u>564,570</u>	<u>21,713,201</u>	<u>5,322,581</u>	<u>180,547,029</u>
Expenditures					
Current					
Instruction					
Regular	70,242,330	-	-	1,697,467	71,939,797
Special	36,181,453	-	-	-	36,181,453
Vocational	3,288,719	-	-	-	3,288,719
Other	1,735,801	-	-	1,231,117	2,966,918
Support services					
Student	7,870,923	-	-	-	7,870,923
Instructional staff	5,859,880	-	-	120,855	5,980,735
General administration	3,894,859	-	2,208	285,974	4,183,041
School administration	10,769,696	-	-	129,114	10,898,810
Business and central administration	4,489,902	-	-	165,111	4,655,013
Operation and maintenance of plant	12,845,718	-	163,802	2,027,140	15,036,660
Transportation	8,865,821	-	-	7,767	8,873,588
Noninstructional programs	1,204,793	-	-	48,600	1,253,393
AEA flowthrough	4,943,031	-	-	-	4,943,031
Facilities acquisition	-	-	19,116,591	-	19,116,591
Capital outlay	1,423,421	-	99,117	-	1,522,538
Debt service					
Principal	86,633	5,220,000	-	-	5,306,633
Interest and fiscal charges	3,061	2,238,593	880,761	-	3,122,415
Total expenditures	<u>173,706,041</u>	<u>7,458,593</u>	<u>20,262,479</u>	<u>5,713,145</u>	<u>207,140,258</u>
Excess of revenues over (under) expenditures	(20,759,364)	(6,894,023)	1,450,722	(390,564)	(26,593,229)
Other Financing Sources (Uses)					
Insurance recoveries	6,686	-	1,101,589	-	1,108,275
Bond premium	-	-	1,485,632	-	1,485,632
Bond proceeds	-	-	87,220,000	-	87,220,000
Transfers in	453,992	17,550,409	-	-	18,004,401
Transfers out	-	-	(17,550,409)	(8,392)	(17,558,801)
Total other financing sources (uses)	<u>460,678</u>	<u>17,550,409</u>	<u>72,256,812</u>	<u>(8,392)</u>	<u>90,259,507</u>
Net change in fund balances	(20,298,686)	10,656,386	73,707,534	(398,956)	63,666,278
Fund Balances					
Beginning of year	<u>13,495,379</u>	<u>24,302,490</u>	<u>2,579,991</u>	<u>3,305,402</u>	<u>43,683,262</u>
End of year	<u>\$ (6,803,307)</u>	<u>\$ 34,958,876</u>	<u>\$ 76,287,525</u>	<u>\$ 2,906,446</u>	<u>\$ 107,349,540</u>

See notes to basic financial statements.

**Waterloo Community School District
Reconciliation of the Statement of Revenues, Expenditures,
and Changes in Fund Balances to the
Statement of Activities - Governmental Funds
Year Ended June 30, 2025**

Net change in fund balances - total governmental funds \$ 63,666,278

Amounts reported for governmental activities in the Statement of Activities are different because:

Capital outlays are reported in governmental funds as expenditures. However, in the Statement of Activities, the cost of those assets is allocated over the useful lives as depreciation/amortization expense:

Capital outlays	18,827,012
Depreciation/amortization expense	(8,267,678)
Disposal of capital assets	(146,790)

Compensated absences and severance are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	(78,430)
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OPEB are recognized as paid in the governmental funds but recognized as the expense is incurred in the Statement of Activities.	(1,416,499)
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Principal payments on long-term debt are recognized as expenditures or other financing uses in the governmental funds but have no effect on net position in the Statement of Activities.	5,306,633
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The current year District employer share of IPERS contributions is reported as an expenditure in the governmental funds, but is reported as a deferred outflow of resources in the statement of net position.	9,376,844
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Pension expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	(4,484,855)
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Interest on long-term debt in the Statement of Activities differs from the amount reported in the governmental funds because interest is recognized as an expenditure in the funds when it is due and thus requires use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due.	51,583
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Governmental funds report the effect of bond premiums and deferred amounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities.	(1,587,704)
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Proceeds from long-term debt are recognized as an other financing source, increasing fund balance in the governmental fund statements, but have no effect on net position in the Statement of Activities.	(87,220,000)
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An internal service fund is used by management to charge the costs of the District's print shop services to various entities and individuals. The change in net position is reported within the governmental activities in the Statement of Activities.	(166,947)
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Long-term assets will be collected in subsequent years, but are not available soon enough to pay for the current period's expenditures and, therefore, are not recognized as revenues in the funds.	132,875
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Change in net position - governmental activities	\$ (6,007,678)
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Waterloo Community School District
Statement of Net Position - Proprietary Funds
June 30, 2025

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise	Internal Service
	School Nutrition (61)	Print Shop (73)
Assets		
Current		
Cash and cash equivalents	\$ 2,231,120	\$ -
Accounts receivable	-	18,557
Due from other governments	50,630	-
Due from other funds	1,599,851	-
Inventory	34,244	23,452
Total current assets	<u>3,915,845</u>	<u>42,009</u>
Noncurrent		
Capital assets, net of accumulated depreciation	432,420	-
Total assets	<u>4,348,265</u>	<u>42,009</u>
Deferred Outflows of Resources		
Deferred outflows related to OPEB	47,923	-
Deferred outflows related to pensions	315,831	-
Total deferred outflows of resources	<u>363,754</u>	<u>-</u>
Total assets and deferred outflows of resources	<u><u>\$ 4,712,019</u></u>	<u><u>\$ 42,009</u></u>
Liabilities		
Current		
Accounts payable	\$ 15,904	\$ -
Due to other funds	-	180,363
Salaries and benefits payable	138,513	-
Unearned revenue	25,676	-
Total OPEB liability	16,085	-
Total current liabilities	<u>196,178</u>	<u>180,363</u>
Noncurrent		
Net pension liability	923,172	-
Total OPEB liability	375,790	-
Total noncurrent liabilities	<u>1,298,962</u>	<u>-</u>
Total liabilities	<u>1,495,140</u>	<u>180,363</u>
Deferred Inflows of Resources		
Deferred inflows related to OPEB	93,498	-
Deferred inflows related to pensions	11,506	-
Total deferred inflows of resources	<u>105,004</u>	<u>-</u>
Net Position		
Investment in capital assets	432,420	-
Unrestricted	2,679,455	(138,354)
Total net position	<u>3,111,875</u>	<u>(138,354)</u>
Total liabilities, deferred inflows of resources, and net position	<u><u>\$ 4,712,019</u></u>	<u><u>\$ 42,009</u></u>

**Waterloo Community School District
Statement of Revenues, Expenses, and Changes
in Fund Net Position - Proprietary Funds
Year Ended June 30, 2025**

	Business-Type Activities <u>Nonmajor Enterprise School Nutrition (61)</u>	Governmental Activities <u>Internal Service Print Shop (73)</u>
Operating Revenues		
Local Sources		
Charges for services	\$ 134,210	\$ 244,973
Other receipts	36,489	-
Total revenue	<u>170,699</u>	<u>244,973</u>
Operating Expenses		
Noninstructional programs		
Food service and print shop operations		
Salaries and benefits	2,502,580	161,133
Employee benefits	1,003,932	64,789
Purchased services	5,159	30,490
Supplies	3,736,058	155,508
Other	2,889	-
Depreciation	80,406	-
Total operating expenses	<u>7,331,024</u>	<u>411,920</u>
Operating income loss	(7,160,325)	(166,947)
Nonoperating Revenues (Expenses)		
Federal sources	7,727,467	-
State sources	49,176	-
Investment income	84,782	-
Total nonoperating revenues (expenses)	<u>7,861,425</u>	<u>-</u>
Change before transfers	701,100	(166,947)
Transfer out	(445,600)	-
Change in net position	<u>255,500</u>	<u>(166,947)</u>
Net Position		
Beginning of year	<u>2,856,375</u>	<u>28,593</u>
End of year	<u>\$ 3,111,875</u>	<u>\$ (138,354)</u>

Waterloo Community School District
Statement of Cash Flows -
Proprietary Funds
Year Ended June 30, 2025

	Business Type Activities	Governmental Activities
	Nonmajor Enterprise School Nutrition (61)	Internal Service Print Shop (73)
Cash Flows - Operating Activities		
Cash received from print shop services	\$ -	\$ 230,496
Cash received from sale of lunches and breakfast	134,658	-
Cash received from other	36,489	-
Payments to employees	(3,594,796)	(225,952)
Payments to suppliers	(3,155,138)	(188,026)
Net cash flows - operating activities	<u>(6,578,787)</u>	<u>(183,482)</u>
Cash Flows - Noncapital Financing Activities		
State grants received	49,176	-
Federal grants received	7,175,362	-
Transfers to other funds	(445,600)	-
Repayment made on interfund loans	(2,411,311)	-
Proceeds received from interfund loans	1,343,697	180,363
Net cash flows - noncapital financing activities	<u>5,711,324</u>	<u>180,363</u>
Cash Flows - Capital and Related Financing Activities		
Acquisition of capital assets	<u>(111,977)</u>	<u>-</u>
Cash Flows - Investment Activities		
Interest received	<u>84,782</u>	<u>-</u>
Net change in cash and cash equivalents	(894,658)	(3,119)
Cash and Cash Equivalents		
Beginning of year	<u>3,125,778</u>	<u>3,119</u>
End of year	<u>\$ 2,231,120</u>	<u>\$ -</u>
Reconciliation of Operating Income (Loss) to Net Cash		
Flows - Operating Activities		
Operating income (loss)	\$ (7,160,325)	\$ (166,947)
Adjustments to reconcile operating income (loss) to net cash flows - operating activities		
Commodities used	566,380	-
Depreciation	80,406	-
Accounts receivable	-	(14,477)
Inventory	9,615	(2,028)
Pension expense	(129,645)	-
OPEB expense	42,032	-
Accounts payable	12,973	-
Salaries and benefits payable	(671)	(30)
Unearned revenue	448	-
Net adjustments	<u>581,538</u>	<u>(16,535)</u>
Net cash flows - operating activities	<u>\$ (6,578,787)</u>	<u>\$ (183,482)</u>
Non-Cash Investing, Capital and Related Financing Activities		
During the year ended June 30, 2025 the District received federal commodities.	\$ 566,380	\$ -

See notes to basic financial statements.

**Waterloo Community School District
Statement of Fiduciary Net Position
June 30, 2025**

	Private Purpose Trust Fund	Custodial Fund
Assets		
Current		
Cash and investments	\$ 39,320	\$ 27,044
Net Position		
Held for other organizations	-	27,044
Held in trust	39,320	-
Total	<u>\$ 39,320</u>	<u>\$ 27,044</u>

**Statement of Changes in Fiduciary Net Position
Year Ended June 30, 2025**

	Private Purpose Trust Fund	Custodial Fund
Additions		
Contributions	\$ 15,000	\$ 11,489
Interest revenue	420	-
Total additions	<u>15,420</u>	<u>11,489</u>
Deductions		
Staff social committees	-	18,867
Scholarships	16,500	-
Total deductions	<u>16,500</u>	<u>18,867</u>
Change in net position	(1,080)	(7,378)
Net Position		
Beginning of year	<u>40,400</u>	<u>34,422</u>
End of year	<u>\$ 39,320</u>	<u>\$ 27,044</u>

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Waterloo Community School District Notes to Basic Financial Statements

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Waterloo Community School District is a political subdivision of the State of Iowa and operates public schools for children in grades pre-kindergarten through twelve. Additionally, the District also either operates or sponsors various adult education programs. These courses include remedial education as well as vocational and recreational courses. The geographic area served includes the Cities of Waterloo, Evansdale, Elk Run Heights, Raymond, Gilbertville and a portion of Cedar Falls, Iowa, and the surrounding predominate agricultural territory in Black Hawk County. The District is governed by a Board of Education whose members are elected on a nonpartisan basis.

The District's basic financial statements are prepared in conformity with accounting principles generally accepted in the United States as prescribed by the Governmental Accounting Standards Board.

A. Reporting Entity

For financial reporting purposes, Waterloo Community School District has included all funds, organizations, agencies, boards, commissions, and authorities. The District has also considered all potential component units for which it is financially accountable, and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's basic financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body, and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District. The District has no material component units which meet the Governmental Accounting Standards Board criteria.

B. Jointly Governed Organizations

The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Black Hawk County Assessor's Conference Board.

C. Basic Financial Statement Information

The Statement of Net Position and the Statement of Activities report information on all the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. There was no material interfund service provided and used not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenue, are reported separately from business-type activities, which rely to a significant extent on fees and charges for services.

The Statement of Net Position presents the District's nonfiduciary assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. Net position is reported in the following categories:

Net Investment in Capital Assets - Consists of capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes, and other debt attributable to the acquisition, construction, or improvement of those assets. This balance also has an adjustment for \$2,471,872 for unspent bond proceeds required to be held in reserves.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

C. Basic Financial Statement Information (Continued)

Restricted Net Position - Results when constraints placed on net position use are either externally imposed or are imposed by law through constitutional provisions or enabling legislation.

Unrestricted Net Position - Consists of net position not meeting the definition of the preceding categories. Unrestricted net position is often subject to constraints imposed by management which can be removed or modified.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenue. Direct expenses are those that are clearly identifiable with a specific function. Program revenue includes: (1) charges to customers or applicants who purchase, use, or directly benefit from goods, services or privileges provided by a given function and (2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenue are reported instead as general revenue.

Depreciation and amortization expense that can be specifically identified by function is included in the direct expenses of that function. Depreciation expense relative to assets that serve multiple functions is presented as unallocated depreciation in the Statement of Activities. This amount excludes the depreciation that is included in the direct expenses, as noted above. Interest on general long-term debt is considered an indirect expense and is reported separately in the Statement of Activities. The effect of interfund activity has been removed from these statements.

Separate fund financial statements are provided for governmental funds, proprietary funds, and fiduciary funds, even though fiduciary funds are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds. Combining schedules are also included for the Capital Projects Fund accounts.

The trust and custodial funds are presented in the fiduciary fund financial statements. Since by definition these assets are being held for the benefit of a third party (other local governments, private parties, etc.) and cannot be used to address activities or obligations of the District, these funds are not incorporated into the government-wide statements. The trust and custodial funds are reported using economic resources measurement focus and the accrual basis of accounting.

D. Measurement Focus and Basis of Accounting

The accounting and financial reporting treatment applied is determined by its measurement focus and basis of accounting. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting as are the fiduciary funds. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenue is recognized when it becomes measurable and available. Revenue is considered to be available when it is collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenue to be available if it is collected within 60 days after year end.

Property tax, intergovernmental revenue (shared revenue, grants, and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments, and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under leases payable are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenue. Thus, when program expenses are incurred, there are both restricted and unrestricted net position available to finance the program. It is the District's policy and procedure to first apply cost-reimbursement grant sources to such programs, and then general revenue.

When an expenditure is incurred in governmental funds which can be paid using either restricted or unrestricted resources, the District's policy and procedure is generally to first apply the expenditure toward restricted fund balance and then to less-restrictive classifications - committed, assigned, and then unassigned fund balances.

Proprietary funds distinguish operating revenue and expenses from nonoperating items. Operating revenue and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenue of the District's Enterprise Fund is charges to customers for sales and services. Operating expenses for the Enterprise Fund include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenue and expenses not meeting this definition are reported as nonoperating revenue and expenses.

The District maintains its financial records on the cash basis. The basic financial statements of the District are prepared by making memorandum adjusting entries to the cash basis financial records.

Description of Funds:

Major Governmental Funds:

General Fund - This fund is the general operating fund of the District. All general tax revenue and other revenue not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support, and other costs.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

D. Measurement Focus and Basis of Accounting (Continued)

Description of Funds: (Continued)

Major Governmental Funds: (Continued)

Debt Service Fund - This fund is utilized to account for property tax and other revenue to be used for the payment of interest and principal on the District's general long-term debt.

Capital Projects Fund - This fund is used to account for all resources used in the acquisition and construction of capital facilities and other capital assets.

Nonmajor Proprietary Fund:

School Nutrition Enterprise Fund - This fund is used to account for the food service operations of the District.

Internal Service Fund:

Print Shop Internal Service Fund - This fund is utilized to account for printing services provided by the District.

The District also reports fiduciary funds which focus on net position and changes in net position.

Fiduciary Funds:

Private Purpose Trust Fund - This fund is used to account for assets held by the District under trust agreements which require income earned to be used to benefit individuals through scholarship awards.

Custodial Fund - This fund is used to account for assets held by the District as a custodian for individuals and committees for various designated purposes. These assets are as a result of outside organizations generating revenue to use for activities that do not directly benefit the District.

E. Cash, Cash Equivalents, and Investments

The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust, and the Goldman Sachs Financial Square Fund which are valued at amortized cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash and, at the day of purchase, they have a maturity date no longer than three months.

F. Property Tax Receivable

Property tax in the governmental funds is accounted for using the modified accrual basis of accounting.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

F. Property Tax Receivable (Continued)

Property tax receivable is recognized in these funds on the levy or lien date, which is the date the tax asking is certified by the Board of Education. Delinquent property tax receivable represents unpaid taxes for the current and prior years. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. By statute, the District is required to certify its budget in April of each year for the subsequent fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is deferred in both the government-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

Property tax revenue recognized in these funds becomes due and collectible in September and March of the fiscal year with a 1-1/2% per month penalty for delinquent payments; is based on January 1, 2023, assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025; and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2024.

G. Due from Other Governments

Due from other governments represents primarily amounts due from the State of Iowa, also included are amounts due for various shared revenue, grants, and reimbursements from other governments.

H. Inventories

Inventories are valued at cost using the first-in, first-out (FIFO) method for purchased items and contributed value for government commodities. Inventories are recorded as expenses when consumed rather than when purchased or received in the government-wide financial statements and proprietary fund financial statements. In the governmental fund financial statements, inventories are accounted for using the consumption method whereby inventory acquisitions are recorded in inventory accounts when purchased and are charged to operations when consumed or sold.

I. Prepaid Items

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both the government-wide and fund financial statements using the consumption method.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

J. Capital Assets

Capital assets, which include property, furniture and equipment are reported in the applicable governmental or business-type activities columns in the government-wide statement of net position. Capital assets are recorded at historical cost. Donated capital assets are recorded at acquisition value. Acquisition value is the price that would have been paid to acquire a capital asset with equivalent service potential. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend asset useful lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Land	\$ 5,000
Buildings and improvements	5,000
Improvements other than buildings	5,000
Furniture and equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	5,000
Groups of assets	100,000

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Buildings and improvements	7-50 Years
Improvements other than buildings	20-30 Years
Furniture and equipment	5-25 Years
Right to use equipment	5-25 Years

Capital assets not being depreciated include land and construction in progress.

K. Deferred Outflows of Resources

Deferred outflows of resources represent a consumption of net assets that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. Deferred outflows of resources consist of unrecognized items not yet charged to pension expense, contributions from the District after the measurement date but before the end of the District's reporting period and the deferred amount on refunding bonds resulting from the difference in the carrying value of refunded debt and the reacquisition price. Deferred outflows of resources related to Pensions and OPEB are recorded on the Statements of Net Position for various estimate differences that will be amortized and recognized over future years.

L. Salaries and Benefits Payable

Payroll and related expenditures for employees with annual contracts corresponding to a current school year, which are payable in July and August have been accrued as liabilities.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

M. Compensated Absences

The liability for compensated absences reported in the Statement of Net Position consists of leave that has not been used that is attributable to services already rendered, accumulates, and is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. The liability also includes amounts for leave that has been used for time off but has not yet been paid in cash or settled through noncash means and certain other types of leave.

N. Long-Term Obligations

In the government-wide financial statements, long-term debt, and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums are amortized over the life of the bonds using the straight-line method. Refunding of debt may result in deferred gains or losses and are reported as deferred inflows and outflows of resources. The difference between the reacquisition price and the net carrying amount of the old debt is deferred and amortized as a component of long-term debt interest and fiscal charges using the straight-line method.

In the fund financial statements, governmental fund types recognize bond premiums, and bond issuance costs during the current period. The face amount of debt issued is reported as another financing source. Premiums received on debt issuances are reported as other financing sources. Issuance costs, whether or not withheld or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

O. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. The net pension liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

P. Total OPEB Liability

For purposes of measuring the total OPEB liability, deferred outflows and deferred inflows of resources related to OPEB and OPEB expense, information has been determined based on the District's actuary report. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the School Nutrition Enterprise Fund.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Q. Deferred Inflows of Resources

Deferred inflows of resources represent an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. Although certain revenue is measurable, it is not available. Available means collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements represent the amount of assets that have been recognized, but the related revenue has not been recognized since the assets are not collected within the current year or expected to be collected soon enough thereafter to be used to pay liabilities of the current year. Deferred inflows of resources in the governmental fund financial statements consist of property taxes receivable and other receivables not collected within 60 days after year end.

Deferred inflows of resources in the statement of net position consists of succeeding year property tax receivable that will not be recognized as revenue until the year for which it is levied and unrecognized items not yet charged to pension expense and amounts related to Pensions OPEB for various estimate differences that will be amortized and recognized over future years.

R. Fund Balances

In the governmental fund financial statements, fund balances are classified as follows:

- **Nonspendable** - Amounts that cannot be spent because they are in nonspendable form or because they are legally or contractually required to be maintained intact.
- **Restricted** - Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, granters, or state or federal laws or imposed by law through constitutional provisions or enabling legislation. Enabling legislation did not result in any restricted fund balance.
- **Unassigned** - All amounts not included in the preceding classifications. The General Fund is the only fund that would report a positive amount in unassigned fund balance. A negative unassigned fund balance may be reported in other governmental funds if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

S. Budgets and Budgetary Accounting

The budgetary comparison and related disclosures are reported as required supplementary information. During the year ended June 30, 2025, expenditures/expenses did not exceed the amounts budgeted except for the instruction and support services functions but the District did not exceed its General Fund unspent authorized budget.

T. Estimates and Assumptions

The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities, deferred inflows of resources, and disclosure of contingent assets and liabilities at the date of the basic financial statements and the reported amounts of revenue and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 2 - CASH, CASH EQUIVALENTS, AND INVESTMENTS

The District is authorized by statute to invest public funds in obligations of the United States Government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high-rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvements certificates of a drainage district.

As of June 30, 2025, the District had the following non pooled investments:

Type of Investments	Rating	Fair Value	Investment Maturities		
			Less than 1 year	1-2 years	2-5 years
Pooled Investments					
ISJIT	NR	\$ 27,997	\$ 27,997	\$ -	\$ -
Non-pooled Investments					
Money Market	NR	3,948,744	3,948,744	-	-
US Treasury securities	AA+	9,674,609	4,860,717	2,404,164	2,409,728
US Treasury State and Local Government Securities (SLGS)	NR	16,023,845	15,232,088	396,636	395,121
ISJIT	0	289,378	289,378	-	-
Total non-pooled investments		29,936,576	24,330,927	2,800,800	2,804,849
Total Investments		\$ 29,964,573	\$ 24,358,924	\$ 2,800,800	\$ 2,804,849

The District uses the fair value hierarchy established by generally accepted accounting principles based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets. Level 2 inputs are significant other observable inputs. Level 3 inputs are significant unobservable inputs.

The recurring fair value measurement for the U.S. Treasury SLGS, FRNs, Notes of \$25,698,454 was determined using the last reported sales price at current exchange rates (Level 1 inputs).

As of June 30, 2025, the District had pooled investments in the Iowa Schools Joint Investment Trust (ISJIT) Diversified Portfolio which are valued at an amortized cost of \$317,375. The Goldman Sachs Financial Square Fund is also measured at amortized cost. There were no limitations or restrictions on withdrawals of these investments.

A. Interest Rate Risk

The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days, but the maturities shall be consistent with the needs and use of the District.

B. Credit Risk

The Board authorizes the District to invest funds in excess of current needs in interest-bearing savings, money market, and checking accounts in the District's authorized depositories; the Iowa

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 2 - CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

C. Concentration of Credit Risk

The District's general investment policy is to apply the prudent-person rule: in making investments, the District shall exercise the care, skill, prudence, and diligence under the circumstances then prevailing that a prudent person acting in a like capacity and familiar with such matters would use to meet the goals of the investment program.

The investments in the Iowa Schools Joint Investment Trust, the Goldman Sachs Financial Square Fund and U.S. Treasury SLGS, FRNs, and Notes are not subject to concentration of credit risk.

D. Custodial Credit Risk

For deposits, custodial credit risk is the risk that in an event of a bank failure, the government's deposits may not be returned to it. For an investment, custodial credit risk is the risk that in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District does not have a formal policy for custodial credit risk.

The District's deposits in banks as of June 30, 2025, were entirely covered by federal depository insurance or by the State Sinking Fund in accordance with Chapter 12C of the *Code of Iowa*. This chapter provides for additional assessments against the depositories to insure there will be no loss of public funds.

E. Deposits and Investments

Summary of cash, deposits, and investments as of June 30, 2025:

Deposits - pooled	\$ 13,039,746
Deposits - non-pooled	83,420,125
Investments - pooled	27,997
Investments - non-pooled	29,936,576
Deposits held in UMB accounts - nonpooled	5,311,678
Cash with fiscal agent	121,260
Petty cash	7,633
Total deposits and investments	<u><u>\$ 131,865,015</u></u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 2 - CASH, CASH EQUIVALENTS, AND INVESTMENTS (CONTINUED)

E. Deposits and Investments (Continued)

Cash, deposits and investments are presented in the June 30, 2025, basic financial statements as follows:

Statement of Net Position	
Cash and investments	\$ 131,677,391
Cash with fiscal agent	121,260
Statement of Fiduciary Net Position	
Private Purpose Trust Fund	39,320
Custodial Fund	27,044
Total	<u><u>\$ 131,865,015</u></u>

NOTE 3 - DUE TO AND DUE FROM OTHER FUNDS

Receivable Fund	Payable Fund	Amount
General	Capital Projects	\$ 846,378
General	Nonmajor Student Activity Fund	197,632
Enterprise - School Nutrition	Capital Projects	250,595
Enterprise - School Nutrition	Capital Projects	1,349,256
General	Internal Service Fund	180,363
Total		<u><u>\$ 2,824,224</u></u>

The Capital Projects Fund and the Special Revenue Student Activity Fund are repaying the General, and the School Nutrition Enterprise Fund for various expenses not reimbursed before year end. The General Fund is repaying the School Nutrition Enterprise Fund for indirect costs not reimbursed before year end. The balances are to be repaid by June 30, 2026. The internal Service fund has an interfund loan to the General Fund for negative cash balances at June 30, 2025.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 4 - INTERFUND TRANSFERS

The detail of the interfund transfers for the year ended June 30, 2025, is as follows:

Transfer To	Transfer From	Amount
Debt Service	Capital Projects	\$ 17,550,409
General	Nonmajor - Special Revenue	
	Management Levy	8,392
General	Enterprise - School Nutrition	445,600
Total		<u>\$ 7,446,697</u>

The transfer from the capital projects fund to the debt service is to move revenue from the fund that statute or budget requires to collect the resources to the fund that statute or budget requires to expend the resources. The transfer from the Management Levy Fund to the General Fund was to use unrestricted revenue collected in a certain fund to finance various programs accounted for in other funds in accordance with budgetary authorization. The transfer from the Enterprise School Nutrition Fund to the General Fund is for indirect cost reimbursement.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 5 - CAPITAL ASSETS

Capital assets activity for the year ended June 30, 2025, was as follows:

	Balance - Beginning of Year	Increases	Decreases	Balance - End of Year
Governmental Activities				
Capital assets not being depreciated/amortized				
Land	\$ 5,488,085	\$ 88,500	\$ -	\$ 5,576,585
Construction in progress	34,498,892	17,323,610	35,913,162	15,909,340
Total capital assets not being depreciated/amortized	<u>39,986,977</u>	<u>17,412,110</u>	<u>35,913,162</u>	<u>21,485,925</u>
Capital assets being depreciated/amortized				
Buildings and improvements	244,823,474	35,336,247	190,052	279,969,669
Improvements other than buildings	11,611,542	73,374	-	11,684,916
SBITA assets	511,228	-	-	511,228
Furniture and equipment	23,546,300	1,918,443	106,405	25,358,338
Total capital assets being depreciated/amortized	<u>280,492,544</u>	<u>37,328,064</u>	<u>296,457</u>	<u>317,524,151</u>
Less accumulated depreciation/amortization for				
Buildings and improvements	88,659,235	5,495,694	104,371	94,050,558
Improvements other than buildings	7,215,205	469,079	-	7,684,284
SBITA assets	243,959	170,409	-	414,368
Furniture and equipment	13,099,190	2,132,496	45,296	15,186,390
Total accumulated depreciation/amortization	<u>109,217,589</u>	<u>8,267,678</u>	<u>149,667</u>	<u>117,335,600</u>
Total capital assets being depreciated/amortized, net	<u>171,274,955</u>	<u>29,060,386</u>	<u>146,790</u>	<u>200,188,551</u>
Governmental activities capital assets, net	<u>\$ 211,261,932</u>	<u>\$ 46,472,496</u>	<u>\$ 36,059,952</u>	<u>\$ 221,674,476</u>
Business-Type Activities				
Furniture and equipment	\$ 3,821,854	\$ 111,977	\$ 36,009	\$ 3,897,822

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 5 - CAPITAL ASSETS (CONTINUED)

Depreciation/amortization expense was charged to the following functions:

Governmental Activities

Instruction

Regular	\$ 518,851
Vocational	53,433
Other	53,039

Support Services

General administration	2,273
School administration	707
Business and central administration	549,422
Operation and maintenance of plant	221,979
Transportation	5,670

Unallocated	<u>6,862,304</u>
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Total depreciation/amortization expense - governmental activities	<u><u>\$ 8,267,678</u></u>
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Business-Type Activities

Food service operations	<u><u>\$ 80,406</u></u>
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NOTE 6 - LONG-TERM LIABILITIES

Changes in long-term liabilities for the year ended June 30, 2025, are summarized as follows:

	Balance - Beginning of Year	Additions	Reductions	Balance - End of Year	Due Within One Year
Governmental Activities					
Revenue bonds	\$ 71,251,539	\$ 87,220,000	\$ 5,220,000	\$ 153,251,539	\$ 22,864,539
SBITA payable	187,266	-	86,633	100,633	100,633
Unamortized premium on bonds payable	2,529,790	1,485,632	219,982	3,795,440	-
Early retirement	-	98,755	-	98,755	98,755
Compensated absences (net)	476,233	-	20,325	455,908	455,908
	<u>74,444,828</u>	<u>88,804,387</u>	<u>5,546,940</u>	<u>157,702,275</u>	<u>23,519,835</u>
Total	<u><u>\$ 74,444,828</u></u>	<u><u>\$ 88,804,387</u></u>	<u><u>\$ 5,546,940</u></u>	<u><u>\$ 157,702,275</u></u>	<u><u>\$ 23,519,835</u></u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 - LONG-TERM LIABILITIES (CONTINUED)

A. Revenue Bonds

Details of the District's June 30, 2025, statewide sales, services and use tax revenue (and refunding) bonded indebtedness are as follows:

Bonds Issued April 26, 2011 - Series B Original Issue Amount - \$16,379,539					
Year Ending June 30,	Interest Rate	Principal	Interest	Credit	Interest Net of Credit
2026	5.85%	<u>\$ 16,379,539</u>	<u>\$ 479,102</u>	<u>\$ (442,248)</u>	<u>\$ 36,854</u>

Bonds Issued March 1, 2018 Original Issue Amount - \$16,667,000				Bonds Issued October 20, 2020 Original Issue Amount - \$22,600,000		
Year Ending June 30,	Interest Rate	Principal	Interest	Interest Rate	Principal	Interest
2026	2.93%	\$ 2,290,000	\$ 291,594	4.00%	\$ 450,000	\$ 682,050
2027	2.93%	2,430,000	222,446	4.00%	100,000	671,050
2028	2.93%	2,140,000	155,495	4.00%	-	669,050
2029	2.93%	2,250,000	91,182	4.00%	-	669,050
2030	2.93%	1,987,000	29,110	4.00%	5,700,000	555,050
2031-2035		-	-	3.00%-4.00%	13,330,000	547,975
2036		-	-	3.00%	500,000	7,500
Total		<u>\$ 11,097,000</u>	<u>\$ 789,827</u>		<u>\$ 20,080,000</u>	<u>\$ 3,801,725</u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 - LONG-TERM LIABILITIES (CONTINUED)

A. Revenue Bonds (Continued)

Bonds Issued July 8, 2021 Original Issue Amount - \$30,281,000			
Year Ending June 30,	Interest Rate	Principal	Interest
2026	1.14%	\$ 3,745,000	\$ 189,268
2027	1.14%	4,780,000	140,676
2028	1.14%	4,970,000	85,101
2029	1.14%	4,980,000	28,386
2030	1.14%	-	-
2031-2035		-	-
2036		-	-
Total		<u>\$ 18,475,000</u>	<u>\$ 443,431</u>

Bonds Issued June 23, 2025					Total		
Original Issue Amount - \$87,220,000							
Year Ending June 30,	Interest Rate	Principal	Interest	Year Ending June 30,	Principal	Interest Net of Credit	Total
2026	5.00%	\$ -	\$ 2,214,026	2026	\$ 22,864,539	\$ 3,413,792	\$ 26,278,331
2027	5.00%	-	4,239,625	2027	7,310,000	5,273,797	12,583,797
2028	5.00%	-	4,239,625	2028	7,110,000	5,149,271	12,259,271
2029	5.00%	-	4,239,625	2029	7,230,000	5,028,243	12,258,243
2030	5.00%	-	4,239,625	2030	7,687,000	4,823,785	12,510,785
2031-2035	5.00%	7,860,000	20,622,875	2031-2035	21,190,000	21,170,850	42,360,850
2036-2040	5.00%	18,330,000	17,082,875	2036-2040	18,830,000	17,090,375	35,920,375
2041-2045	4.50-5.00%	23,875,000	11,950,650	2041-2045	23,875,000	11,950,650	35,825,650
2046-2050	5.00-4.750%	30,205,000	5,441,525	2046-2050	30,205,000	5,441,525	35,646,525
2051	4.75%	6,950,000	165,063	2051	6,950,000	165,063	7,115,063
Total		\$ 87,220,000	\$ 74,435,514	Total	\$ 153,251,539	\$ 79,507,351	\$ 232,758,890

The District has pledged future statewide sales, services and use tax revenue to repay the \$156,768,000 of bonds issued in March 2018, October 2020, July 2021, and June 2025. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition, construction, reconstruction, remodeling, and refurbishing certain District facilities, refunding certain District outstanding statewide sales, services and use tax revenue bonds and paying the costs of issuing the bonds. The bonds are payable solely from proceeds of the statewide sales, services, and use tax revenue received by the District. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest remaining to be paid on the bonds is \$216,342,497. For the current year, principal of \$5,220,000 and interest of \$1,278,390 was paid on the bonds.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 - LONG-TERM LIABILITIES (CONTINUED)

A. Revenue Bonds (Continued)

The District has also pledged future statewide sales, services, and use tax revenue to repay the \$16,379,539 of qualified school construction bonds Series B (direct pay) issued in April 2011. The bonds were issued for the purpose of financing a portion of the costs associated with site acquisition and construction of a new elementary school. The bonds are payable solely from proceeds of the statewide sales, services and use tax revenue received by the District and mature July 1, 2025. The bonds have an interest rate of 5.85% but the District is entitled to a credit from the federal government at a rate of 5.4% (Build America Bonds). The District must remit interest net of any credits received to the bondholder semi-annually. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. The total principal and interest net of credits remaining to be paid on the bonds is \$16,416,393. For the current year, no principal and interest net of credit of \$36,854 was paid on the bonds.

Annual principal and interest payments on all outstanding bonds are expected to require nearly 51% of the statewide sales, services, and use tax revenue. For the current year, total statewide sales, services, and use tax revenue was \$14,194,731.

The resolutions providing for the issuance of the statewide, sales, services, and use tax revenue (and refunding) bonds include the following provisions:

1. The proceeds from the issuance of the bonds be used to pay off any remaining principal and interest due on the 2011 Series A bonds (2021 Series only).
2. All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
3. Monies in the revenue account shall be disbursed to make deposits into a sinking account to pay the principal and interest requirements of the revenue bonds for the fiscal year.
4. Any monies remaining in the revenue account after the required transfer to the sinking account may be transferred to the project account to be used for any lawful purpose.

The District complied with all of the revenue bond provisions during the year ended June 30, 2025.

The District did not exceed its legal debt margin as of June 30, 2025, as follows:

Total assessed valuation	\$ 6,295,061,175
Debt limit (5% of total assessed valuation)	314,753,059
Amount of debt applicable to debt limit (total bonded debt)	<u>(157,046,979)</u>
Excess of debt limit over bonded debt outstanding (legal debt margin)	<u><u>\$ 157,706,080</u></u>

B. SBITA Payable

In August 2023, the District entered into a SBITA agreement for finance software. The agreement requires 3 annual payments with an implicit interest rate of 3.0% and final payment due August 2025. During the year ended June 30, 2025, the District paid \$86,633 of principal and \$3,283 of interest for the SBITA agreement. In fiscal year 2026 \$100,633 of principal and \$259 of interest will be due.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 6 - LONG-TERM LIABILITIES (CONTINUED)

C. Line of Credit

On February 25, 2025, the District opened a line of credit with a local bank for \$10,000,000 that was still open at June 30, 2025. During the year the District drew and repaid \$3,000,000 and had an ending balance at June 30, 2025 of \$0.

NOTE 7 - PENSION AND RETIREMENT BENEFITS

A. Plan Description

IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple-employer defined benefit pension plan administered by the Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at PO Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under *Iowa Code* Chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

B. Pension Benefits

A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012, will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a regular member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25% for each month that the member receives benefits before the member's earliest normal retirement age. For service earned on or after July 1, 2012, the reduction is 0.50% for each month the member receives benefits before age 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 - PENSION AND RETIREMENT BENEFITS (CONTINUED)

C. Disability and Death Benefits

A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

D. Contributions

Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to one percentage point. IPERS' Contribution Rate Funding Policy requires the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, regular members contributed 6.29% of covered payroll and the District contributed 9.44% of covered payroll, for a total rate of 15.73%.

The District's contributions to IPERS for the year ended June 30, 2025, were \$9,376,844.

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2025 the District reported a liability of \$37,526,870 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to IPERS relative to the contributions of all IPERS participating employers. As of June 30, 2024, the District's proportion was 1.016216% which was a decrease of 0.00114% from its proportion measured as of June 30, 2023.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 - PENSION AND RETIREMENT BENEFITS (CONTINUED)

E. Net Pension Liabilities, Pension Expense, Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions (Continued)

For the year ended June 30, 2025, the District recognized pension expense of \$4,355,210. As of June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflow of Resources
	<u> </u>	<u> </u>
Differences between expected and actual experience	\$ 2,986,043	\$ 23,310
Changes of assumptions	-	524
Net difference between projected and actual earnings on IPERS investments	469,335	-
Changes in proportion and differences between District contributions and proportionate share of contributions	6,306	443,891
District contributions subsequent to the measurement date	<u>9,376,844</u>	<u>-</u>
 Total	 <u><u>\$ 12,838,528</u></u>	 <u><u>\$ 467,725</u></u>

The \$9,376,844 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ending June 30,	Pension Expense
	<u> </u>
2026	\$ (5,112,090)
2027	9,013,661
2028	333,299
2029	(1,243,913)
2030	<u>3,002</u>
 Total	 <u><u>\$ 2,993,959</u></u>

There were no non-employer contributing entities to IPERS.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 - PENSION AND RETIREMENT BENEFITS (CONTINUED)

F. Actuarial Assumptions

The total pension liability in the June 30, 2024, actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Rate of inflation (effective June 30, 2017)	2.6% per annum.
Salary increases (effective June 30, 2017)	3.25% to 16.25%, average, including inflation. Rates vary by membership group.
Long-term investment rate of return (effective June 30, 2017)	7.0% compounded annually, net of investment expense, including inflation.
Wage growth (effective June 30, 2017)	3.25% per annum, based on 2.6% inflation assumption and 0.65% real wage inflation.

The actuarial assumptions used in the June 30, 2024, valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021.

Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on IPERS' investments was determined using a building-block method in which best-estimate ranges of expected future real rates (expected returns, net of investment expense, and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0 %	3.52 %
International equity	13.0	5.18
Global smart beta equity	5.0	4.12
Core plus fixed income	25.5	3.04
Public credit	3.0	4.53
Cash	1.0	1.69
Private equity	17.0	8.89
Private real assets	9.0	4.25
Private credit	5.5	6.62
Total	100.0 %	

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 7 - PENSION AND RETIREMENT BENEFITS (CONTINUED)

G. Discount Rate

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, IPERS' fiduciary net position was projected to be available to make all projected future benefit payments to current active and inactive employees. Therefore, the long-term expected rate of return on IPERS' investments was applied to all periods of projected benefit payments to determine the total pension liability.

H. Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.00%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00%) or one percentage point higher (8.00%) than the current rate.

	1% Decrease in Discount Rate (6.00%)	Current Discount Rate (7.00%)	1% Increase in Discount Rate (8.00%)
District's proportionate share of the net pension liability	\$ 92,090,267	\$ 37,526,870	\$ (8,170,262)

I. Pension Plan Fiduciary Net Position

Detailed information about IPERS' fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

J. Payables to the Pension Plan

As of June 30, 2025, the District reported payables to the defined benefit pension plan of \$2,015,420 for legally required employer contributions and \$1,343,614 for legally required employee contributions withheld from employee wages but not yet remitted to IPERS.

NOTE 8 - RISK MANAGEMENT

The District is exposed to various risks of loss related to torts, theft, damage to and destruction of assets, errors and omissions, injuries to employees, and natural disasters. These risks are covered by the purchase of commercial insurance. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years. There were no significant reductions in insurance coverage from the prior year.

NOTE 9 - AREA EDUCATION AGENCY SUPPORT

The District is required by the *Code of Iowa* to budget for its share of special education support, media, and educational services provided through the Area Education Agency. The District's actual amount for this purpose totaled \$4,943,031 for the year ended June 30, 2025, and is recorded in the General Fund by making a memorandum adjusting entry to the cash basis financial statements.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 10 - EARLY RETIREMENT PLAN

The District offers a voluntary early retirement plan to its administrative support staff and administrators. The application for early retirement is subject to approval by the Board of Education.

The District provides a one-time supplemental benefit payment for administrative support staff and administrators. The District offers the plan on an annual basis. To be eligible for the benefit, the administrative support staff or administrator must have attained age 55 by September 1, have completed 13 years of service with the District and have submitted application for retirement by March 31. In addition, for administrators to qualify, at least ten of the years of service must have been as an administrator. Benefits for administrators are computed as 40% of salary based on age at retirement and benefits for administration support are computed as 30% of salary based on age at retirement. In addition, employees that retired during 2025 that were age 55 or older and had 10 or more years of employment at the District were eligible for a 25% incentive payment to the employee's 403b plan. The administrative support staff and administrators are also eligible to continue participation in the District's group health insurance program to age 65, as described in Note 13.

As of June 30, 2025, several employees requested early retirement under the fiscal year 2025 incentive. The District had a remaining obligation at June 30, 2025 of \$98,755.

Early retirement expenditures for the year ended June 30, 2025, totaled \$794,100.

The early retirement plan liability is liquidated by the Management Fund, a nonmajor governmental fund.

NOTE 11 - OTHER POSTEMPLOYMENT BENEFITS (OPEB)

A. Plan Description

The District provides a single-employer defined benefit health care plan to employee retirees and their spouses. The plan offers medical/prescription drug and dental coverage. Medical coverage is administered by Wellmark. The dental coverage is administered by Delta Dental. It is the District's policy to periodically review its coverage, and to obtain requests for proposals in order to provide the most favorable benefits and premiums for District employees and retirees. No assets are accumulated in a trust.

B. Benefit Provided

The District provides post employment retirement benefits to pay health, dental, and life insurance premiums for certain retired District personnel. Benefits are paid on behalf of retired administrative personnel to Medicare eligibility and other qualified staff to Medicare eligibility at which time benefits cease.

C. Members

As of June 30, 2024, the following were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	29
Active employees	<u>1,624</u>
Total	<u><u>1,653</u></u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 11 - OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

D. Contributions

Retirees under age 65 contribute to the health care plan at the same rate as District employees. This results in the retirees receiving an implicit rate subsidy. Contribution requirements are established by the District, based on the contract terms with Wellmark. The required contributions are based on projected pay-as-you-go financing requirements. For the year 2025, the District contributed \$494,905 to the plan.

E. Actuarial Assumptions

The total OPEB liability was determined by an actuarial valuation as of June 30, 2025, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Key Methods and Assumptions Used in Valuation of Total OPEB Liability

Discount rate	5.20%
Salary increases	3.25%
Healthcare cost trend increases	7.75% in 2024 grading down by 0.30% each year through 2033 and 0.10% thereafter to an ultimate rate of 4.0%.
Mortality Assumption	Pub-2010 mortality table with generational SOA scale MP-2021.

The actuarial assumptions used in the June 30, 2024, valuation were based on the results of an actuarial experience study for the period July 1, 2023 through June 30, 2024.

The discount rate used to measure the total OPEB liability was 5.20% based on the 20-year municipal bond yield.

Changes in assumptions since the prior valuation are as follows.

- The discount rate was updated from 3.93% to 5.20%.

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 11 - OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

F. Total OPEB Liability

The District's total OPEB liability of \$15,446,115 was measured as of June 30, 2025, and was determined by an actuarial analysis as of June 30, 2024.

	Total OPEB Liability (a)
Balances at July 1, 2024	<u>\$ 15,769,904</u>
Changes for the year	
Service cost	1,410,292
Interest	665,457
Assumption changes	(1,904,633)
Benefit payments	<u>(494,905)</u>
Net changes	<u>(323,789)</u>
Balances at June 30, 2025	<u><u>\$ 15,446,115</u></u>

G. OPEB Liability Sensitivity

The following presents the District's total OPEB liability calculated using the discount rate of 5.20% as well as the liability measured using 1% lower and 1% higher than the current discount rate.

	1% Decrease in Discount Rate (4.20%)	Current Discount Rate (5.20%)	1% Increase in Discount Rate (6.20%)
Total OPEB liability	\$ 16,918,000	\$ 15,446,115	\$ 14,106,000

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 11 - OTHER POSTEMPLOYMENT BENEFITS (OPEB) (CONTINUED)

G. OPEB Liability Sensitivity (Continued)

The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1% lower and 1% higher than the current healthcare cost trend rates.

	1% Decrease (6.75% Decreasing to 3.0%)	Current (7.75% Decreasing to 4.0%)	1% Increase (8.75% Decreasing to 5.0%)
Total OPEB liability	\$ 13,390,000	\$ 15,446,115	\$ 17,936,000

**H. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources
Related to OPEB**

For the year ended June 30, 2025, the District recognized OPEB expense of \$1,953,437. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes of assumptions	\$ 1,020,330	\$ 465,383
Differences between expected and actual experience	868,609	3,219,930
Total	<u>\$ 1,888,939</u>	<u>\$ 3,685,313</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ending June 30,	Total
2026	\$ (122,312)
2027	(122,312)
2028	(122,312)
2029	(122,312)
2030	(122,312)
Thereafter	<u>(1,184,814)</u>
Total	<u>\$ (1,796,374)</u>

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 12 - CATEGORICAL FUNDING

In accordance with *Iowa Administrative Code* § 98.1, categorical funding is financial support from the state and federal governments targeted for particular categories of students, special programs, or special purposes. This support is in addition to school district or area education agency general purpose revenue, for purposes beyond the basic educational program and most often has restrictions on its use. Any portion of categorical funding provided by the state that is not expended by the end of the fiscal year must be carried forward as a restricted fund balance.

The District's restricted fund balance for categorical funding as of June 30, 2025, is comprised of the following programs:

Home school assistance	<u>\$ 129,750</u>
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NOTE 13 - COMMITMENTS

The District has entered into agreements with various companies for nursing and operation of the District's student transportation services. Terms of the agreements range from one to five years, and all agreements contain provisions for renewal.

The District has entered into various contracts for several projects which are primarily being funded by the statewide sales, services and use tax. The projects primarily include the construction of a new high school. As of June 30, 2025, the remaining commitment on these contracts was \$128,313,609 and will be paid as work on the projects progress.

NOTE 14 - TAX ABATEMENTS

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenue that results from an agreement between one or more governments and an individual entity in which (a) one or more governments promise to forgo tax revenue to which they are otherwise entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Tax Abatements of Other Entities

Property tax revenue of the District were reduced by the following amounts for the year ended June 30, 2025, under agreements entered into by the following entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Waterloo	Urban Renewal and Economic Development Projects	\$ 2,655,423
City of Evansdale	Urban Renewal and Economic Development Projects	686,540
City of Gilbertville	Urban Renewal and Economic Development Projects	8,744

**Waterloo Community School District
Notes to Basic Financial Statements**

NOTE 14 - TAX ABATEMENTS (CONTINUED)

Tax Abatements of Other Entities (Continued)

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, the District received \$1,593,836 in reimbursements.

NOTE 15 - DEFICIT FUND BALANCE

At June 30, 2025 the General Fund had a deficit fund balance of \$6,803,307 and the internal service fund had a deficit fund balance of \$138,354. The District plans to resolve the general fund deficit through expenditure reductions in future years and the internal service deficit through future contributions.

NOTE 16 - SUBSEQUENT EVENT

On August 25, 2025, the District increased the line of credit with the local bank to \$20,000,000.

REQUIRED SUPPLEMENTARY INFORMATION

Waterloo Community School District
Schedule of Budgetary Comparison of Revenue,
Expenditures/Expenses and Changes in Balances
Budget to Actual - All Governmental Funds and Proprietary Fund
Year Ended June 30, 2025

	Budgeted Amounts	Actual		Variance with Final Budget - Over (Under)
	Original and Final	Governmental Funds	Proprietary Fund	
Revenues				
Local sources	\$ 46,001,971	\$ 47,456,326	\$ 255,481	\$ 1,709,836
State sources	121,436,491	120,540,459	49,176	(846,856)
Federal sources	21,210,000	12,550,244	7,727,467	(932,289)
Total revenues	<u>188,648,462</u>	<u>180,547,029</u>	<u>8,032,124</u>	<u>(69,309)</u>
Expenditures				
Instruction	105,390,000	114,929,578	-	9,539,578
Support services	55,702,350	58,558,311	-	2,855,961
Noninstructional programs	9,893,350	1,253,393	7,331,024	(1,308,933)
Other expenditures	<u>77,574,656</u>	<u>32,398,976</u>	<u>-</u>	<u>(45,175,680)</u>
Total expenditures	<u>248,560,356</u>	<u>207,140,258</u>	<u>7,331,024</u>	<u>(34,089,074)</u>
Excess of revenues over (under) expenditures	(59,911,894)	(26,593,229)	701,100	34,019,765
Other Financing Sources (Uses) (Net)	<u>74,649,400</u>	<u>90,259,507</u>	<u>(445,600)</u>	<u>15,164,507</u>
Net change in fund balance	<u>\$ 14,737,506</u>	<u>\$ 63,666,278</u>	<u>\$ 255,500</u>	<u>\$ 49,184,272</u>
Fund Balance				
Beginning of year		<u>\$ 43,683,262</u>	<u>\$ 2,856,375</u>	
End of year		<u>\$ 107,349,540</u>	<u>\$ 3,111,875</u>	

**Waterloo Community School District
Notes to the Required Supplementary Information-
Budgetary Reporting**

This budgetary comparison is presented as required supplementary information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major special revenue fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except internal service, private-purpose trust, and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on a GAAP basis.

Formal and legal budgetary control for the certified budget is based upon four major classes of expenditures known as functions, not by fund. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District did not amend the budget.

During the year ended June 30, 2025, expenditures did not exceed the District's budget except for the instruction and support services expenditure functions.

**Waterloo Community School District
Schedule of District's Proportionate Share
of the Net Pension Liability
Iowa Public Employees' Retirement System
Last Ten Years**

Fiscal Year Ending June 30,	District's				
	District's Proportion of the Net Pension Liability (Asset)	District's Proportionate Share of the Net Pension Liability (Asset)	District's Covered Payroll	District's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of its Covered Payroll	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability
2016	1.0419%	\$ 65,571,852	\$ 74,825,218	87.63%	81.8%
2017	0.9930%	66,143,267	74,212,184	89.13%	82.2%
2018	1.0019%	66,143,267	74,119,194	89.24%	83.6%
2019	1.0010%	60,359,576	71,144,460	84.84%	85.5%
2020	1.0354%	60,359,576	79,327,638	76.09%	82.9%
2021	1.0364%	72,294,516	81,674,799	88.52%	99.6%
2022	1.0265%	1,439,020	83,310,328	1.73%	91.4%
2023	1.0215%	40,543,966	86,429,089	46.91%	91.4%
2024	1.0173%	46,942,402	91,333,432	51.40%	90.1%
2025	1.0162%	37,526,870	95,091,801	39.46%	92.3%

**Waterloo Community School District
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Years**

<u>Fiscal Year Ending June 30,</u>	<u>Statutorily Required Contribution</u>	<u>Contributions in Relation to the Statutorily Required Contributions</u>	<u>Contribution Deficiency (Excess)</u>	<u>District's Covered Payroll</u>	<u>Contributions as a Percentage of Covered Payroll</u>
2016	\$ 6,627,148	\$ 6,627,148	\$ -	\$ 74,212,184	8.93%
2017	6,618,844	6,618,844	-	74,119,194	8.93%
2018	6,716,037	6,716,037	-	71,144,460	9.44%
2019	7,488,529	7,488,529	-	79,327,638	9.44%
2020	7,710,101	7,710,101	-	81,674,799	9.44%
2021	7,864,495	7,864,495	-	83,310,328	9.44%
2022	8,158,906	8,158,906	-	86,429,089	9.44%
2023	8,621,876	8,621,876	-	91,333,432	9.44%
2024	8,976,666	8,976,666	-	95,091,801	9.44%
2025	9,376,844	9,376,844	-	99,330,975	9.44%

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**Waterloo Community School District
Notes to the Required Supplementary Information-
Pension Liability**

Changes of Benefit Terms

- There are no significant changes in benefit terms.

Changes of Assumptions

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.0%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Waterloo Community School District
Schedule of Changes in Total OPEB Liability,
Related Ratios and Notes

	June 30, 2018	June 30, 2019	June 30, 2020	June 30, 2021
Total OPEB Liability				
Service cost	\$ 854,462	\$ 887,530	\$ 975,041	\$ 1,124,736
Interest	367,941	390,720	398,838	274,855
Differences between expected and actual experience	-	-	725,076	-
Changes of assumptions	(245,425)	344,486	(805,296)	54,141
Changes of benefit terms	-	-	-	-
Benefit payments	(350,303)	(492,265)	(329,710)	(473,960)
Other changes	-	-	-	-
Net change in total OPEB liability	<u>626,675</u>	<u>1,130,471</u>	<u>963,949</u>	<u>979,772</u>
Beginning of year	<u>8,828,046</u>	<u>9,454,721</u>	<u>10,585,192</u>	<u>11,549,141</u>
End of year	<u>\$ 9,454,721</u>	<u>\$ 10,585,192</u>	<u>\$ 11,549,141</u>	<u>\$ 12,528,913</u>
Covered employee payroll	\$ 73,393,083	\$ 78,580,915	\$ 75,646,535	\$ 78,294,000
Total OPEB liability as a percentage of covered-employee payroll	12.88%	13.47%	15.27%	16.00%

Notes to Schedule of Changes in the District's Total OPEB Liability and Related Ratios

Change in benefit terms

There were no significant changes in benefit terms.

Changes in assumptions

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

Year Ended June 30,	Discount Rate
2025	5.20%
2024	3.93%
2023	3.65%
2022	3.54%
2021	2.16%
2020	2.21%
2019	3.50%
2018	3.87%
2017	3.58%

Additional changes in assumptions since the prior valuation are as follows:

- The trend rates were reset to an initial rate of 7.75%, grading down by 0.25% per year until reaching the ultimate rate of 4.00% based on current Healthcare Analytics (HCA) Consulting trend study; current economic environment suggests a longer period until reaching the ultimate rate.
- The Iowa Public Employees' Retirement System (IPERS) retirement and termination rates were updated to the rates from the June 30, 2024 Actuarial Valuation.
- The salary scale was updated to 5.20% to align with the IPERS valuation.
- The marriage assumption was increased to 10% for future retirees

There are no assets accumulated in a trust.

Note: Schedule is intended to show ten year trend. Additional years will be reported as they become available.

<u>June 30, 2022</u>	<u>June 30, 2023</u>	<u>June 30, 2024</u>	<u>June 30, 2025</u>
\$ 1,158,180	\$ 1,103,183	\$ 1,123,430	\$ 1,410,292
292,102	461,213	514,161	665,457
(611,960)	-	607,176	-
(897,546)	(126,903)	745,132	(1,904,633)
-	-	-	-
(327,693)	(433,126)	(366,358)	(494,905)
-	-	-	-
<u>(386,917)</u>	<u>1,004,367</u>	<u>2,623,541</u>	<u>(323,789)</u>
12,528,913	12,141,996	13,146,363	15,769,904
<u>\$ 12,141,996</u>	<u>\$ 13,146,363</u>	<u>\$ 15,769,904</u>	<u>\$ 15,446,115</u>
\$ 78,162,556	\$ 80,507,000	\$ 83,965,408	\$ 86,694,000
15.53%	16.33%	18.78%	17.82%

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SUPPLEMENTARY INFORMATION

**Waterloo Community School District
Nonmajor Governmental Funds -
Description of Funds**

Special Revenue Funds

Special revenue funds are used to account for specific revenue that is legally restricted to expenditures for particular purposes.

Student Activity Fund - This fund accounts for the funds raised by student groups. Under state law, the Board retains responsibility for the Student Activity Fund's ultimate disposition.

Management Levy Fund - This fund accounts for the resources accumulated and payments made for property insurance, fidelity bonds, worker compensation, liability insurance premiums, unemployment insurance claims, and early retirement incentives.

Waterloo Community School District
Combining Balance Sheet -
Nonmajor Governmental Funds
June 30, 2025

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Assets			
Cash and investments	\$ 1,615,951	\$ 1,477,973	\$ 3,093,924
Cash with fiscal agent	-	87,000	87,000
Receivables			
Property tax - delinquent	-	34,330	34,330
Property tax - succeeding year	-	3,200,006	3,200,006
Accounts receivable	20,687	-	20,687
Due from other governmental units	-	161	161
	<u>-</u>	<u>161</u>	<u>161</u>
Total assets	<u>\$ 1,636,638</u>	<u>\$ 4,799,470</u>	<u>\$ 6,436,108</u>
Liabilities			
Accounts payable	\$ 154	\$ 130,019	\$ 130,173
Salaries and benefits payable	1,851	-	1,851
Interfund payable	197,632	-	197,632
Total liabilities	<u>199,637</u>	<u>130,019</u>	<u>329,656</u>
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	3,200,006	3,200,006
	<u>-</u>	<u>3,200,006</u>	<u>3,200,006</u>
Fund Balances			
Restricted			
Management levy purposes	-	1,469,445	1,469,445
Student activities	1,437,001	-	1,437,001
Total fund balances	<u>1,437,001</u>	<u>1,469,445</u>	<u>2,906,446</u>
Total liabilities, deferred inflows of resources, and fund balances	<u>\$ 1,636,638</u>	<u>\$ 4,799,470</u>	<u>\$ 6,436,108</u>

Waterloo Community School District
Combining Statement of Revenues, Expenditures,
and Changes in Fund Balances - Nonmajor Governmental Funds
Year Ended June 30, 2025

	Special Revenue Funds		
	Student Activity (21)	Management Levy (22)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 3,945,672	\$ 3,945,672
Other local and county revenues	1,260,162	-	1,260,162
Revenue from state sources	-	116,747	116,747
Total revenues	<u>1,260,162</u>	<u>4,062,419</u>	<u>5,322,581</u>
Expenditures			
Current			
Instruction			
Regular	-	1,697,467	1,697,467
Other	1,231,117	-	1,231,117
Support services			
Instructional staff	-	120,855	120,855
General administration	-	285,974	285,974
School administration	-	129,114	129,114
Business and central administration	-	165,111	165,111
Operation and maintenance of plant	-	2,027,140	2,027,140
Transportation	-	7,767	7,767
Noninstructional programs	-	48,600	48,600
Total expenditures	<u>1,231,117</u>	<u>4,482,028</u>	<u>5,713,145</u>
Excess of revenues over (under) expenditures	29,045	(419,609)	(390,564)
Transfers out	-	(8,392)	(8,392)
Net change in fund balances	<u>29,045</u>	<u>(428,001)</u>	<u>(398,956)</u>
Fund Balances			
Beginning of year	<u>1,407,956</u>	<u>1,897,446</u>	<u>3,305,402</u>
End of year	<u>\$ 1,437,001</u>	<u>\$ 1,469,445</u>	<u>\$ 2,906,446</u>

Waterloo Community School District
Schedule of Changes in Student Activity
Special Revenue Fund
Year Ended June 30, 2025

Account	Balance - Beginning of Year	Revenue	Expenditures	Balance - End of Year
High Schools				
East	\$ 276,505	\$ 295,042	\$ 324,940	\$ 246,607
Expo	100,755	94,251	110,267	84,739
West	581,617	420,059	535,513	466,163
Middle Schools				
Bunger	21,843	16,831	24,159	14,515
Carver	23,519	14,973	14,522	23,970
Central	55,308	17,826	25,148	47,986
Hoover	27,308	33,995	26,269	35,034
Elementary Schools				
Cunningham	16,186	4,103	3,993	16,296
Elk Run Pre-K	6,122	-	2,009	4,113
Fred Becker	20,278	2,931	733	22,476
Highland	30,607	6,563	10,744	26,426
Irving	4,103	2,277	2,116	4,264
Kingsley	51,725	25,146	17,256	59,615
Kittrell	47,662	14,657	12,515	49,804
Lincoln	9,756	4,705	2,848	11,613
Lou Henry	58,792	16,331	20,388	54,735
Lowell	11,120	5,008	4,798	11,330
Orange	10,002	2,725	2,732	9,995
Poyner	10,306	3,177	4,851	8,632
Waterloo Career Center	28,349	178,882	29,405	177,826
Other	16,093	100,680	55,911	60,862
Total	<u>\$ 1,407,956</u>	<u>\$ 1,260,162</u>	<u>\$ 1,231,117</u>	<u>\$ 1,437,001</u>

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**Waterloo Community School District
Capital Projects Fund Accounts -
Description of Accounts**

Capital Projects Fund

The Capital Projects Fund is used to account for specific resources that are restricted to expenditures for capital outlays. The fund has two sets of accounts, as follows:

Statewide Sales, Services, and Use Tax - This set of accounts is used to account for all resources used in the acquisition and construction of capital facilities and the payment of fees related to the issuance of bonds.

Physical Plant and Equipment Levy - This set of accounts is used to account for resources accumulated and payments made for the purchase and improvement of grounds, purchase of buildings, major repairs, remodeling, reconstructing, improving, or expanding the schools or buildings, and for equipment purchases.

**Waterloo Community School District
Combining Balance Sheet -
Capital Projects Fund Accounts
June 30, 2025**

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Assets			
Cash and investments	\$ 79,868,753	\$ 35,048	\$ 79,903,801
Receivables			
Property tax - delinquent	-	45,125	45,125
Property tax - succeeding year	-	3,511,960	3,511,960
Accounts receivable	-	618,340	618,340
Due from other governmental units	1,488,561	114	1,488,675
Total assets	\$ 81,357,314	\$ 4,210,587	\$ 85,567,901
Liabilities			
Accounts and contracts payable	\$ 2,897,442	\$ 424,745	\$ 3,322,187
Interfund payable	2,446,229	-	2,446,229
Total liabilities	5,343,671	424,745	5,768,416
Deferred Inflows of Resources			
Unavailable revenue - succeeding year property tax	-	3,511,960	3,511,960
Fund Balances			
Restricted			
School infrastructure	76,013,643	-	76,013,643
Physical plant and equipment	-	273,882	273,882
Total fund balances	76,013,643	273,882	76,287,525
Total liabilities, deferred inflows of resources, and fund balances	\$ 81,357,314	\$ 4,210,587	\$ 85,567,901

Waterloo Community School District
Combining Schedule of Revenues, Expenditures,
and Changes in Fund Balances - Capital Projects Fund Accounts
Year Ended June 30, 2025

	Capital Projects		
	Statewide Sales, Services and Use Tax (33)	Physical Plant and Equipment Levy (36)	Total
Revenues			
Revenue from local sources			
Local property taxes	\$ -	\$ 3,433,494	\$ 3,433,494
Other local and county revenues	2,476,771	285,764	2,762,535
Revenue from state sources	14,194,731	82,452	14,277,183
Revenue from federal sources	857,413	382,576	1,239,989
Total revenues	<u>17,528,915</u>	<u>4,184,286</u>	<u>21,713,201</u>
Expenditures			
Current			
General administration	-	2,208	2,208
Operational and maintenance of plant	-	163,802	163,802
Facilities acquisition and construction	12,132,449	6,984,142	19,116,591
Capital Outlay	-	99,117	99,117
Debt service			
Interest and fiscal charges	880,761	-	880,761
Total expenditures	<u>13,013,210</u>	<u>7,249,269</u>	<u>20,262,479</u>
Excess of revenues over (under) expenditures	4,515,705	(3,064,983)	1,450,722
Other Financing Sources (Uses)			
Bond proceeds	87,220,000	-	87,220,000
Bond Premium	1,485,632	-	1,485,632
Insurance recoveries	-	1,101,589	1,101,589
Transfers out	(17,550,409)	-	(17,550,409)
Total other financing sources (uses)	<u>71,155,223</u>	<u>1,101,589</u>	<u>72,256,812</u>
Net change in fund balances	75,670,928	(1,963,394)	73,707,534
Fund Balances			
Beginning of year	<u>342,715</u>	<u>2,237,276</u>	<u>2,579,991</u>
End of year	<u>\$ 76,013,643</u>	<u>\$ 273,882</u>	<u>\$ 76,287,525</u>

Waterloo Community School District
Schedule of Revenue by Source, Expenditures by Function and Other
Financing Sources and Uses - All Governmental Fund Types
(Modified Accrual Basis)
Last Ten Years

	Fiscal Year			
	2016	2017	2018	2019
Revenue				
Local Tax	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038	\$ 39,665,677
Other local sources	3,922,981	4,060,967	3,576,353	5,135,083
State sources	92,921,474	93,075,350	93,493,669	96,986,270
Federal sources	9,836,256	9,418,824	10,249,534	10,678,737
Total revenue	147,559,964	147,597,951	148,464,594	152,465,767
Expenditures				
Instruction				
Regular	58,993,633	55,353,953	55,540,116	57,603,548
Special	22,732,230	21,756,209	22,813,950	25,807,093
Vocational	202,779	400,383	500,388	1,585,697
Other	2,687,454	2,792,554	3,881,778	3,096,335
Support Services	-	-	-	-
Student	4,788,157	4,415,783	5,115,590	4,971,109
Instructional staff	2,817,283	5,646,305	6,447,463	6,291,097
General administration	2,718,769	2,602,137	2,616,598	2,871,929
School administration	7,890,728	7,743,139	8,125,929	7,821,148
Business and central administration	4,534,563	3,827,775	4,106,600	3,917,276
Operation and maintenance of plant	11,138,260	11,167,991	11,189,322	11,920,069
Transporation	4,732,761	4,750,742	5,079,463	5,201,248
Noninstructional programs	762,335	810,060	984,215	1,020,730
AEA flowthrough	5,236,777	5,152,367	5,286,315	5,363,880
Facilities acquisition	1,736,111	3,284,407	8,643,022	661,859
Capital Outlay	-	-	-	12,522,581
Debt Service	-	-	-	-
Principal	2,760,000	4,930,000	6,367,495	3,861,495
Interest and fiscal charges	3,462,108	3,769,285	2,256,376	2,530,699
Total expenditures	137,193,948	138,403,090	148,954,620	157,047,793
Revenue Over (Under) Expenditures	10,366,016	9,194,861	(490,026)	(4,582,026)
Other Financing Sources (Uses)				
Revenue bonds issued	-	-	16,667,000	-
Premium (discount) on sale of revenue bonds	-	-	-	-
Proceeds from sale of capital assets	17,400	-	40,850	249,568
Insurance recoveries	-	-	-	665,391
SBITA issued	-	-	-	-
Refunding revenue bonds issued	-	43,045,000	-	-
Payment to refunding bonds escrow agent	-	(48,033,623)	-	-
Transfers in	7,322,260	9,610,102	10,272,656	8,806,952
Transfers out	(7,322,260)	(9,610,102)	(10,333,863)	(8,806,952)
Total other financing sources (uses)	17,400	(4,988,623)	16,646,643	914,959

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814	\$ 38,098,194	\$ 40,471,436
3,903,834	2,779,254	4,623,894	5,294,293	6,195,834	935,256
98,766,524	102,673,826	105,987,170	109,751,746	115,031,076	120,540,459
12,511,951	24,409,499	30,144,192	29,269,157	10,684,144	12,550,244
154,793,989	170,614,956	180,295,657	183,203,010	170,009,248	180,547,029
59,311,253	62,473,850	65,534,511	69,517,558	69,889,510	71,939,797
25,566,615	25,921,809	26,222,718	28,014,237	32,363,625	36,181,453
2,206,150	2,300,975	2,619,859	2,705,191	3,126,359	3,288,719
2,423,586	2,140,325	4,334,568	3,097,050	3,167,214	2,966,918
-	-	-	-	-	-
5,634,378	5,623,145	6,151,256	6,953,606	7,766,911	7,870,923
6,835,486	6,069,673	6,969,955	7,197,703	6,917,555	5,980,735
3,023,669	3,012,434	3,327,070	3,904,230	3,628,053	4,183,041
7,818,359	8,020,026	8,777,553	9,991,799	10,427,789	10,898,810
4,110,481	4,611,522	4,478,589	4,630,248	4,964,566	4,655,013
11,576,681	11,974,792	13,539,088	14,322,043	14,385,335	15,036,660
4,783,552	4,347,382	5,630,896	4,252,315	7,882,111	8,873,588
1,131,872	1,101,958	920,489	920,751	1,147,035	1,253,393
5,471,894	5,648,589	5,654,682	5,741,971	5,826,481	4,943,031
1,400,394	2,298,396	1,136,610	2,244,648	3,401,161	19,116,591
6,328,372	17,695,863	22,952,401	20,490,650	10,252,042	1,522,538
-	-	-	-	-	-
4,944,495	5,145,000	5,349,000	6,016,000	5,225,962	5,306,633
2,502,220	2,608,597	3,171,037	2,427,385	2,341,144	3,122,415
155,069,457	170,994,336	186,770,282	192,427,385	192,712,853	207,140,258
(275,468)	(379,380)	(6,474,625)	(9,224,375)	(22,703,605)	(26,593,229)
-	22,600,000	-	-	-	87,220,000
-	3,226,399	-	-	-	1,485,632
-	-	-	-	35,765	-
854,921	380,965	23,719	68,804	879,857	1,108,275
-	-	-	-	268,228	-
-	-	30,281,000	-	-	-
-	-	(31,018,000)	-	-	-
8,461,974	11,654,521	9,129,455	9,732,350	7,416,558	18,004,401
(8,766,362)	(11,654,521)	(9,336,467)	(9,838,320)	(7,067,724)	(17,558,801)
550,533	26,207,364	(920,293)	(37,166)	1,532,684	90,259,507

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STATISTICAL SECTION

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Waterloo Community School District Statistical Section

This part of Waterloo Community School District's Annual Comprehensive Financial Report (ACFR) presents detailed information as a context for understanding what the information in the basic financial statements, note disclosures, and required supplementary information says about the District's overall financial health.

Contents	Page
Financial Trends These schedules contain trend information to help the reader understand how the District's financial performance and well-being have changed over time	98
Revenue Capacity These schedules contain information to help the reader assess the District's most significant local revenue sources, property tax and sales tax	110
Debt Capacity These schedules present information to help the reader assess the affordability of the District's current levels of outstanding debt and the District's ability to issue additional debt in the future	118
Demographic and Economic Information These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place	125
Operating Information These schedules contain service and infrastructure data to help the reader understand how the information in the District's financial report relates to the services the District provides and the activities it performs	128

Sources: Unless otherwise noted, the information in these schedules is derived from the ACFR for the relevant year

Waterloo Community School District
Net Position by Component
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Governmental activities				
Net investment in capital assets	\$ 103,139,326	\$ 99,742,300	\$ 104,277,255	\$ 103,694,880
Restricted	20,345,571	26,714,296	26,709,802	32,952,773
Unrestricted	(41,694,422)	(36,044,713)	(39,397,460)	(41,886,242)
Total governmental activities net position	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,589,597</u>	<u>\$ 94,761,411</u>
Business-Type Activities				
Net investment in capital assets	\$ 824,219	\$ 698,528	\$ 632,686	\$ 507,425
Restricted	-	-	-	-
Unrestricted	(824,219)	(698,528)	(865,763)	(499,079)
Total business-type activities net position	<u>-</u>	<u>-</u>	<u>(233,077)</u>	<u>8,346</u>
Government-Wide				
Net investment in capital assets	\$ 103,963,545	\$ 100,440,828	\$ 104,909,941	\$ 104,202,305
Restricted	20,345,571	26,714,296	26,709,802	32,952,773
Unrestricted	(42,518,641)	(36,743,241)	(40,263,223)	(42,385,321)
Total District net position	<u>\$ 81,790,475</u>	<u>\$ 90,411,883</u>	<u>\$ 91,356,520</u>	<u>\$ 94,769,757</u>

** The District recorded a change in accounting principle of \$3,810,542 due to the implementation of Implementation Guide 2021-1. The adjustment is not reflected in fiscal year 2023.

Table 1

Fiscal Year					
2020	2021	2022	2023	2024**	2025
\$ 104,757,255	\$ 91,549,556	\$ 109,621,979	\$ 127,451,716	\$ 139,769,197	\$ 139,125,912
37,301,579	48,642,717	38,257,626	27,817,468	30,178,970	36,235,020
(48,670,312)	(40,459,101)	(22,387,457)	(14,930,634)	(34,092,828)	(45,513,271)
<u>\$ 93,388,522</u>	<u>\$ 99,733,172</u>	<u>\$ 125,492,148</u>	<u>\$ 140,338,550</u>	<u>\$ 135,855,339</u>	<u>\$ 129,847,661</u>
\$ 422,852	\$ 310,005	\$ 418,770	\$ 441,409	\$ 400,849	\$ 432,420
-	-	-	-	-	-
(414,700)	(302,747)	660,800	1,818,701	2,455,826	2,679,455
<u>8,152</u>	<u>7,258</u>	<u>1,079,570</u>	<u>2,260,110</u>	<u>2,856,675</u>	<u>3,111,875</u>
\$ 105,180,107	\$ 91,859,561	\$ 110,040,749	\$ 127,893,125	\$ 140,170,046	\$ 139,558,332
37,301,579	48,642,717	38,257,626	27,817,468	30,178,970	36,235,020
(49,085,012)	(40,761,848)	(21,726,657)	(13,111,933)	(31,637,002)	(42,833,816)
<u>\$ 93,396,674</u>	<u>\$ 99,740,430</u>	<u>\$ 126,571,718</u>	<u>\$ 142,598,660</u>	<u>\$ 138,712,014</u>	<u>\$ 132,959,536</u>

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Expenses				
Governmental activities				
Instruction				
Regular	\$ 58,023,505	\$ 56,162,424	\$ 56,666,299	\$ 59,612,267
Special	27,631,219	27,193,436	28,527,564	31,376,216
Vocational	221,589	421,261	489,433	1,573,936
Other	2,729,963	2,864,641	3,944,883	3,149,518
Support Services				
Student	4,724,404	4,465,354	5,198,703	5,008,484
Instructional Staff	2,770,753	5,733,804	6,591,096	6,354,431
General administration	2,673,726	2,642,738	2,668,037	2,894,456
School administration	7,748,294	7,863,958	8,299,220	7,894,732
Business and central administration	4,442,125	3,922,815	4,197,584	3,869,671
Operations and maintenance of plant	12,167,758	13,627,848	12,777,962	12,941,774
Transportation	4,755,349	4,756,049	5,084,870	5,206,719
Facilities acquisition	-	-	-	1,145,942
Noninstructional programs	749,198	820,652	995,563	1,032,969
Debt service interest and fiscal changes	3,440,024	3,116,157	2,676,973	2,862,886
Depreciation (unallocated)	5,323,306	5,312,206	5,332,834	5,384,911
Total Governmental Activities Expenses	<u>137,401,213</u>	<u>138,903,343</u>	<u>143,451,021</u>	<u>150,308,912</u>
Business-Type Activities				
Nutrition services	<u>5,771,697</u>	<u>6,097,675</u>	<u>6,397,986</u>	<u>6,154,195</u>
Total Expenses	143,172,910	145,001,018	149,849,007	156,463,107
Program Revenue				
Governmental Activities				
Charges for Service				
Instruction	3,181,655	2,893,381	2,373,293	2,551,779
Support Services	261,520	297,151	287,085	908,200
Operating grants, contributions, and restricted interest	28,527,370	28,218,619	29,499,730	31,307,678
Capital grants, contributions, and restricted interest	<u>136,397</u>	<u>452,249</u>	<u>104,422</u>	<u>89,319</u>
Total Governmental Activities Program Revenue	<u>32,106,942</u>	<u>31,861,400</u>	<u>32,264,530</u>	<u>34,856,976</u>
Business-Type Activities				
Charges for Service				
Nutrition services	1,361,144	1,284,523	1,294,810	718,531
Operating grants, contributions, and restricted interest	<u>4,656,571</u>	<u>4,782,171</u>	<u>4,800,811</u>	<u>5,666,206</u>
Total Business-Type Activities Program Revenue	<u>6,017,715</u>	<u>6,066,694</u>	<u>6,095,621</u>	<u>6,384,737</u>
Total Program Revenue	<u>\$ 38,124,657</u>	<u>\$ 37,928,094</u>	<u>\$ 38,360,151</u>	<u>\$ 41,241,713</u>

Table 2

Fiscal Year					
2020	2021	2022	2023	2024**	2025
\$ 62,905,756	\$ 65,936,444	\$ 59,969,021	\$ 65,974,520	\$ 68,921,669	\$ 70,990,166
31,845,373	32,290,424	29,551,990	32,155,780	37,515,295	40,411,450
2,410,587	2,412,620	2,547,577	3,100,717	2,787,204	3,341,816
2,717,331	2,242,126	4,228,406	3,102,479	3,171,320	2,962,390
5,785,395	5,748,313	5,742,427	6,659,600	7,633,855	7,721,737
7,100,530	6,267,665	6,307,843	6,728,295	6,734,337	5,827,151
3,137,286	3,104,695	3,044,721	3,719,436	3,556,504	4,099,880
8,119,212	8,271,876	7,957,527	9,389,427	10,180,862	9,885,164
4,340,347	5,106,183	5,907,237	6,424,407	5,435,044	5,830,543
12,148,512	12,566,010	12,863,085	14,173,948	14,327,211	15,101,761
4,789,500	4,353,077	5,633,453	4,252,778	7,881,679	8,968,541
1,875,116	6,260,881	2,761,786	1,296,499	1,414,964	1,680,121
1,172,254	1,112,247	819,613	855,619	1,165,590	1,385,529
2,737,335	3,348,297	2,787,907	2,476,791	2,403,945	3,172,904
5,529,090	5,704,913	5,655,060	6,085,381	6,437,978	6,862,304
156,613,624	164,725,771	155,777,653	166,395,677	179,567,457	188,241,457
6,027,419	5,681,056	7,011,695	7,389,857	7,209,009	7,331,024
162,641,043	170,406,827	162,789,348	173,785,534	186,776,466	195,572,481
1,842,046	1,445,476	4,382,073	3,900,934	4,214,932	3,301,974
908,933	527,535	292,590	220,357	93,462	69,941
33,521,342	32,091,282	31,447,756	30,230,211	31,596,844	34,428,381
7,207	150	1,000,000	-	-	4,157,920
36,279,528	34,064,443	37,122,419	34,351,502	35,905,238	41,958,216
147,905	58,038	67,998	108,274	144,126	170,699
5,536,063	5,619,626	7,801,562	8,285,787	7,873,527	7,776,643
5,683,968	5,677,664	7,869,560	8,394,061	8,017,653	7,947,342
\$ 41,963,496	\$ 39,742,107	\$ 44,991,979	\$ 42,745,563	\$ 43,922,891	\$ 49,905,558

Waterloo Community School District
Changes in Net Position
Last Ten Fiscal Years
(Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Net (Expense) Revenue				
Governmental Activities	\$ (105,294,271)	\$ (107,041,943)	\$ (111,186,491)	\$ (115,451,936)
Business-Type Activities	246,018	(30,981)	(302,365)	230,542
Total Government-Wide Net Expense	<u>\$ (105,048,253)</u>	<u>\$ (107,072,924)</u>	<u>\$ (111,488,856)</u>	<u>\$ (115,221,394)</u>
General Revenue (Expense) and Transfers				
Governmental Activities				
Property tax	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038	\$ 39,665,677
Unrestricted statewide sales, services, and use tax	10,636,953	10,404,246	10,067,844	11,253,675
Unrestricted state and federal grants	63,579,962	63,834,387	64,174,857	66,090,945
Unrestricted investment earnings	370,954	381,908	787,325	1,363,885
Other	-	-	40,850	249,568
Transfers	-	-	(61,207)	-
Total Governmental Activities General Revenue (Expense) and Transfers	<u>115,467,122</u>	<u>115,663,351</u>	<u>116,154,707</u>	<u>118,623,750</u>
Business-Type Activities				
Unrestricted investment earnings	410	1,150	4,098	10,881
Other	-	904	-	-
Transfers	-	-	61,207	-
Total Business-Type Activities General Revenue (Expense) and Transfers	<u>410</u>	<u>2,054</u>	<u>65,305</u>	<u>10,881</u>
Total Government-Wide General Revenue	<u>\$ 115,467,532</u>	<u>\$ 115,665,405</u>	<u>\$ 116,220,012</u>	<u>\$ 118,634,631</u>
Change in Net Position				
Governmental Activities	\$ 10,172,851	\$ 8,621,408	\$ 4,968,216	\$ 3,171,814
Business-Type Activities	246,428	(28,927)	(237,060)	241,423
Total	<u>\$ 10,419,279</u>	<u>\$ 8,592,481</u>	<u>\$ 4,731,156</u>	<u>\$ 3,413,237</u>

** The District recorded a change in accounting principle of \$3,810,542 due to the implementation of Implementation Guide 2021-1. The adjustment is not reflect in fiscal year 2023.

Table 2 (Continued)

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ (120,334,096)	\$ (130,661,328)	\$ (118,655,234)	\$ (132,044,175)	\$ (143,662,219)	\$ (146,283,241)
(343,451)	(3,392)	857,865	1,004,204	808,644	616,318
<u>\$ (120,677,547)</u>	<u>\$ (130,664,720)</u>	<u>\$ (117,797,369)</u>	<u>\$ (131,039,971)</u>	<u>\$ (142,853,575)</u>	<u>\$ (145,666,923)</u>
\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814	\$ 39,130,491	\$ 41,622,989
11,095,519	10,920,298	14,116,706	12,825,426	14,059,279	14,194,731
67,506,132	84,754,808	90,313,243	92,992,146	78,207,391	82,627,589
1,081,051	578,995	650,372	2,291,161	2,713,342	1,384,654
-	-	-	-	909,129	-
(333,175)	-	(207,012)	(105,970)	348,834	445,600
<u>118,961,207</u>	<u>137,006,478</u>	<u>144,413,710</u>	<u>146,890,577</u>	<u>135,368,466</u>	<u>140,275,563</u>
10,082	2,498	7,435	70,366	136,455	84,782
-	-	-	-	-	-
333,175	-	207,012	105,970	(348,834)	(445,600)
<u>343,257</u>	<u>2,498</u>	<u>214,447</u>	<u>176,336</u>	<u>(212,379)</u>	<u>(360,818)</u>
<u>\$ 119,304,464</u>	<u>\$ 137,008,976</u>	<u>\$ 144,628,157</u>	<u>\$ 147,066,913</u>	<u>\$ 135,156,087</u>	<u>\$ 139,914,745</u>
\$ (1,372,889)	\$ 6,345,150	\$ 25,758,476	\$ 14,846,402	\$ (8,293,753)	\$ (6,007,678)
(194)	(894)	1,072,312	1,180,540	596,265	255,500
<u>\$ (1,373,083)</u>	<u>\$ 6,344,256</u>	<u>\$ 26,830,788</u>	<u>\$ 16,026,942</u>	<u>\$ (7,697,488)</u>	<u>\$ (5,752,178)</u>

Waterloo Community School District
Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
General Fund				
Nonspendable	\$ 214,094	\$ 203,354	\$ 209,587	\$ 170,726
Restricted	618,739	846,668	896,351	912,809
Assigned	1,230,992	1,230,992	1,230,992	1,230,992
Unassigned	9,406,541	16,613,297	19,273,937	17,848,501
Total general fund	<u>\$ 11,470,366</u>	<u>\$ 18,894,311</u>	<u>\$ 21,610,867</u>	<u>\$ 20,163,028</u>
All Other Governmental Funds				
Debt Service Fund				
Restricted	\$ 16,537,007	\$ 12,636,227	\$ 14,412,575	\$ 16,936,384
Capital Projects Fund				
Restricted	7,699,813	8,414,802	19,959,174	15,335,500
Unassigned	-	-	-	-
Special Revenue Funds				
Nonspendable	13,205	21,922	-	-
Restricted	2,991,415	2,950,781	3,092,044	2,972,681
Total all other governmental funds	<u>\$ 27,241,440</u>	<u>\$ 24,023,732</u>	<u>\$ 37,463,793</u>	<u>\$ 35,244,565</u>
Total all governmental funds	<u>\$ 38,711,806</u>	<u>\$ 42,918,043</u>	<u>\$ 59,074,660</u>	<u>\$ 55,407,593</u>

Table 3

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 180,078	\$ 233,193	\$ 1,107,399	\$ 957,884	\$ 1,655,616	\$ 1,392,276
1,931,290	793,868	1,159,194	1,640,929	2,322,818	129,750
1,230,992	1,230,992	1,230,992	1,230,992	1,230,992	-
15,181,795	26,948,864	31,809,926	31,718,094	8,285,953	(8,325,333)
<u>\$ 18,524,155</u>	<u>\$ 29,206,917</u>	<u>\$ 35,307,511</u>	<u>\$ 35,547,899</u>	<u>\$ 13,495,379</u>	<u>\$ (6,803,307)</u>
\$ 18,272,341	\$ 22,594,426	\$ 22,713,606	\$ 24,294,764	\$ 24,302,490	\$ 34,958,876
16,292,484	26,957,075	13,639,967	3,081,248	2,579,991	76,287,525
-	-	-	(328,974)	-	-
-	-	-	-	-	-
2,593,678	2,752,224	2,454,640	2,259,246	3,305,402	2,906,446
<u>\$ 37,158,503</u>	<u>\$ 52,303,725</u>	<u>\$ 38,808,213</u>	<u>\$ 29,306,284</u>	<u>\$ 30,187,883</u>	<u>\$ 114,152,847</u>
<u>\$ 55,682,658</u>	<u>\$ 81,510,642</u>	<u>\$ 74,115,724</u>	<u>\$ 64,854,183</u>	<u>\$ 43,683,262</u>	<u>\$ 107,349,540</u>

Waterloo Community School District
Changes in Fund Balances of Governmental Funds
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

	Fiscal Year			
	2016	2017	2018	2019
Revenue				
Local tax	\$ 40,879,253	\$ 41,042,810	\$ 41,145,038	\$ 39,665,677
Other local sources	3,922,981	4,060,967	3,576,353	5,135,083
State sources	92,921,474	93,075,350	93,493,669	96,986,270
Federal sources	9,836,256	9,418,824	10,249,534	10,678,737
Total revenue	147,559,964	147,597,951	148,464,594	152,465,767
Expenditures				
Instruction				
Regular	58,993,633	55,353,953	55,540,116	57,603,548
Special	22,732,230	21,756,209	22,813,950	25,807,093
Vocational	202,779	400,383	500,388	1,585,697
Other	2,687,454	2,792,554	3,881,778	3,096,335
Support services				
Student	4,788,157	4,415,783	5,115,590	4,971,109
Instructional staff	2,817,283	5,646,305	6,447,463	6,291,097
General administration	2,718,769	2,602,137	2,616,598	2,871,929
School administration	7,890,728	7,743,139	8,125,929	7,821,148
Business and central administration	4,534,563	3,827,775	4,106,600	3,917,276
Operation and maintenance of plant	11,138,260	11,167,991	11,189,322	11,920,069
Transportation	4,732,761	4,750,742	5,079,463	5,201,248
Noninstructional programs	762,335	810,060	984,215	1,020,730
AEA flowthrough	5,236,777	5,152,367	5,286,315	5,363,880
Facilities acquisition	1,736,111	3,284,407	8,643,022	1,145,942
Capital outlay	-	-	-	12,038,498
Debt service				
Principal	2,760,000	4,930,000	6,367,495	3,861,495
Interest and fiscal charges	3,462,108	3,769,285	2,256,376	2,530,699
Total expenditures	137,193,948	138,403,090	148,954,620	157,047,793
Revenue over (under) expenditures	10,366,016	9,194,861	(490,026)	(4,582,026)
Other Financing Sources (Uses)				
Revenue bonds issued	-	43,045,000	16,667,000	-
Premium (discount) on sale of revenue bonds	-	-	-	-
Proceeds from sale of capital assets	17,400	-	40,850	249,568
Insurance recoveries	-	-	-	665,391
SBITAs Issued	-	-	-	-
Payment to refunding bonds escrow agent	-	(48,033,623)	-	-
Transfers in	7,322,260	9,610,102	10,272,656	8,806,952
Transfers out	(7,322,260)	(9,610,102)	(10,333,863)	(8,806,952)
Total other financing sources (uses)	17,400	(4,988,623)	16,646,643	914,959
Net change in fund balances	\$ 10,383,416	\$ 4,206,238	\$ 16,156,617	\$ (3,667,067)

Table 4

Fiscal Year					
2020	2021	2022	2023	2024	2025
\$ 39,611,680	\$ 40,752,377	\$ 39,540,401	\$ 38,887,814	\$ 38,098,194	\$ 40,471,436
3,903,834	2,779,254	4,623,894	5,294,293	6,195,834	6,984,890
98,766,524	102,673,826	105,987,170	109,751,746	115,031,076	120,540,459
12,511,951	24,409,499	30,144,192	29,269,157	10,684,144	12,550,244
154,793,989	170,614,956	180,295,657	183,203,010	170,009,248	180,547,029
59,311,253	62,473,850	65,534,511	69,517,558	69,889,510	71,939,797
25,566,615	25,921,809	26,222,718	28,014,237	32,363,625	36,181,453
2,206,150	2,300,975	2,619,859	2,705,191	3,126,359	3,288,719
2,423,586	2,140,325	4,334,568	3,097,050	3,167,214	2,966,918
5,634,378	5,623,145	6,151,256	6,953,606	7,766,911	7,870,923
6,835,486	6,069,673	6,969,955	7,197,703	6,917,555	5,980,735
3,023,669	3,012,434	3,350,049	3,904,230	3,628,053	4,183,041
7,818,359	8,020,026	8,843,898	9,991,799	10,427,789	10,898,810
4,110,481	4,611,522	4,478,589	4,630,248	4,964,566	4,655,013
11,576,681	11,974,792	13,449,764	14,322,043	14,385,335	15,036,660
4,783,552	4,347,382	5,630,896	4,252,315	7,882,111	8,873,588
1,131,872	1,101,958	920,489	920,751	1,147,035	1,253,393
5,471,894	5,648,589	5,654,682	5,741,971	5,826,481	4,943,031
1,400,394	2,298,396	1,136,610	2,244,648	3,401,161	19,116,591
6,328,372	17,695,863	22,952,401	20,490,650	10,252,042	1,522,538
4,944,495	5,145,000	6,349,000	6,016,000	5,225,962	5,306,633
2,502,220	2,608,597	3,171,037	2,427,385	2,341,144	3,122,415
155,069,457	170,994,336	187,770,282	192,427,385	192,712,853	207,140,258
(275,468)	(379,380)	(7,474,625)	(9,224,375)	(22,703,605)	(26,593,229)
-	22,600,000	30,281,000	-	-	87,220,000
-	3,226,399	-	-	-	1,485,632
-	-	-	-	35,765	-
854,921	380,965	23,719	68,804	879,857	1,108,275
-	-	-	-	268,228	-
-	-	(30,018,000)	-	-	-
8,461,974	11,654,521	9,129,455	9,732,350	7,416,558	18,004,401
(8,766,362)	(11,654,521)	(9,336,467)	(9,838,320)	(7,067,724)	(17,558,801)
550,533	26,207,364	79,707	(37,166)	1,532,684	90,259,507
\$ 275,065	\$ 25,827,984	\$ (7,394,918)	\$ (9,261,541)	\$ (21,170,921)	\$ 63,666,278

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Waterloo Community School District
General Fund - Other Local Revenue by Sources
Last Ten Fiscal Years
(Modified Accrual Basis of Accounting)
(Unaudited)

Table 5

Fiscal Year Ended June 30,	Rentals	Contributions	Investment Earnings	Other	Total
2016	\$ 114,095	\$ 622,991	\$ 83,636	\$ 224,583	\$ 1,045,305
2017	96,094	598,548	162,521	293,200	1,150,363
2018	74,926	371,131	433,257	202,592	1,081,906
2019	77,826	1,207,716	721,011	129,411	2,135,964
2020	52,490	964,166	538,135	77,637	1,632,428
2021	25,855	440,080	219,925	198,360	884,220
2022	48,424	1,196,424	291,333	234,603	1,770,784
2023	50,462	441,998	1,780,578	96,609	2,369,647
2024	41,245	435,683	2,135,738	319,388	2,932,054
2025	59,324	381,107	672,528	349,408	1,462,367

**Waterloo Community School District
Taxable Value and Assessed Value of Taxable Property
Last Ten Fiscal Years**

Excluding Tax Increment Financing (TIF) Property

Levy Year	Collection Year	Real Property		Utilities with Gas and Electric	
		Taxable Value	100% Assessed Value	Taxable Value	100% Assessed Value
2023	2024-25	\$ 2,703,443,320	\$ 5,320,823,013	\$ 86,220,389	\$ 305,079,563
2022	2023-24	2,681,006,220	4,508,329,430	89,685,373	280,203,309
2021	2022-23	2,752,764,376	4,497,585,942	90,942,731	221,209,026
2020	2021-22	2,699,444,623	4,262,817,544	82,927,339	197,789,137
2019	2020-21	2,980,745,977	4,577,698,946	86,082,965	190,923,087
2018	2019-20	2,979,211,235	4,505,458,805	89,352,252	181,312,936
2017	2018-19	2,578,452,678	4,579,032,151	91,523,089	173,916,620
2016	2017-18	2,596,980,650	4,094,291,800	92,872,695	172,719,002
2015	2016-17	2,485,821,894	3,980,722,291	132,928,647	202,116,070
2014	2015-16	2,443,853,918	3,897,583,672	137,562,883	192,279,984

Table 6

Taxable Value	Total		Ratio of Taxable Value to 100% Assessed Value	Total District Levy Rate
		100% Assessed Value		
\$ 2,789,663,709	\$	5,625,902,576	49.6%	13.96640
2,765,393,920		4,788,532,739	57.8%	13.36032
2,843,707,107		4,718,794,968	63.2%	13.36236
2,782,371,962		4,460,606,681	65.3%	13.84769
3,066,828,942		4,768,622,033	67.0%	14.20694
3,068,563,487		4,686,771,741	68.1%	14.20694
2,669,975,767		4,752,948,771	58.3%	14.57188
2,689,853,345		4,267,010,802	65.7%	14.98155
2,618,750,541		4,182,838,361	65.8%	15.40000
2,581,416,801		4,089,863,656	66.2%	15.62432

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates				
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County
Waterloo	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577
Cedar Falls	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577
Elk Run Heights	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577

Table 7

Overlapping Rates	District Direct Rates				Total	Ratio of Waterloo Community School District to Total
	General Fund	Management Levy Fund	PPEL Fund	Total District		
City						
21.79160	14.62089	1.12551	1.00000	16.74640	45.73658	36.61%
22.07438	11.55046	1.41594	1.00000	13.96640	43.12949	32.38%
19.73019	11.18870	1.17162	1.00000	13.36032	40.18730	33.25%
18.97159	11.30740	1.05496	1.00000	13.36236	39.49908	33.83%
18.63188	12.20076	0.64693	1.00000	13.84769	40.15223	34.49%
17.45595	12.55248	0.65446	1.00000	14.20694	39.71936	35.77%
17.54799	12.77376	0.43318	1.00000	14.20694	39.49347	35.97%
17.45595	13.01008	0.56180	1.00000	14.57188	40.08430	36.35%
7.58574	13.42390	0.55765	1.00000	14.98155	30.31731	49.42%
17.60522	13.82721	0.57279	1.00000	15.40000	40.78414	37.76%
12.20003	14.62089	1.12551	1.00000	16.74640	36.14501	46.33%
11.86133	11.55046	1.41594	1.00000	13.96640	32.91644	42.43%
11.4032	11.1887	1.17162	1.00000	13.36032	31.86031	41.93%
11.51171	11.3074	1.05496	1.00000	13.36236	32.03920	41.71%
11.38273	12.20076	0.64693	1.00000	13.84769	32.90308	42.09%
11.22169	12.55248	0.65446	1.00000	14.20694	33.48510	42.43%
10.95250	12.77376	0.43318	1.00000	14.20694	32.89798	43.18%
11.22169	13.01008	0.56180	1.00000	14.57188	33.85004	43.05%
11.76884	13.42390	0.55765	1.00000	14.98155	34.50041	43.42%
11.21967	13.82721	0.57279	1.00000	15.40000	34.39859	44.77%
11.06792	14.62089	1.12551	1.00000	16.74640	35.01290	47.83%
9.87765	11.55046	1.41594	1.00000	13.96640	30.93276	45.15%
10.21604	11.1887	1.17162	1.00000	13.36032	30.67315	43.56%
9.11311	11.3074	1.05496	1.00000	13.36236	29.64060	45.08%
8.09999	12.20076	0.64693	1.00000	13.84769	29.62034	46.75%
8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
8.10000	12.77376	0.43318	1.00000	14.20694	30.04548	47.28%
8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
6.91757	13.42390	0.55765	1.00000	14.98155	29.64914	50.53%
7.00001	13.82721	0.57279	1.00000	15.40000	30.17893	51.03%

Waterloo Community School District
Direct and Overlapping Property Tax Rates Per \$1,000 Assessed Valuation
Last Ten Fiscal Years

City	Levy Year	Collection Year	Overlapping Rates				
			State	Area VII Community College	Ag Extension	Assessor	Black Hawk County
Evansdale	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577
Gilbertville	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577
Raymond	2024	2025-26	0.00000	1.28567	0.11109	0.22956	5.57226
	2023	2024-25	0.00180	1.23407	0.10172	0.21834	5.53278
	2022	2023-24	0.00180	1.21183	0.10041	0.20918	5.57357
	2021	2022-23	0.00240	1.18571	0.11456	0.22911	5.63335
	2020	2021-22	0.00260	1.17640	0.09872	0.22103	6.17391
	2019	2020-21	0.00290	1.01703	0.09346	0.25005	6.69303
	2018	2019-20	0.00280	1.11803	0.09315	0.22093	6.30363
	2017	2018-19	0.00290	1.01703	0.09346	0.25005	6.69303
	2016	2017-18	0.00310	0.97071	0.09148	0.26966	6.41507
	2015	2016-17	0.00330	0.95088	0.09352	0.28545	6.44577

Table 7 (Continued)

Overlapping Rates	District Direct Rates				Ratio of Waterloo Community School District to Total	
City	General Fund	Manage- ment Levy Fund	PPEL Fund	Total District	Total	
7.97488	14.62089	1.12551	1.00000	16.74640	31.91986	52.46%
7.97488	11.55046	1.41594	1.00000	13.96640	29.02999	48.11%
7.97498	11.18887	1.17162	1.00000	13.36049	28.43226	46.99%
7.97946	11.3074	1.05496	1.00000	13.36236	28.50695	46.87%
7.94876	12.20076	0.64693	1.00000	13.84769	29.46911	46.99%
8.10000	12.55248	0.65446	1.00000	14.20694	30.36341	46.79%
9.30626	12.77376	0.43318	1.00000	14.20694	31.25174	45.46%
8.10000	13.01008	0.56180	1.00000	14.57188	30.72835	47.42%
17.60000	13.42390	0.55765	1.00000	14.98155	40.33157	37.15%
7.41756	13.82721	0.57279	1.00000	15.40000	30.59648	50.33%
14.64300	14.62089	1.12551	1.00000	16.74640	38.58798	43.40%
16.30138	11.55046	1.41594	1.00000	13.96640	37.35649	37.39%
13.38379	11.18887	1.17162	1.00000	13.36049	33.84107	39.48%
13.61202	11.3074	1.05496	1.00000	13.36236	34.13951	39.14%
12.89986	12.20076	0.64693	1.00000	13.84769	34.42021	40.23%
11.83251	12.55248	0.65446	1.00000	14.20694	34.09592	41.67%
12.21391	12.77376	0.43318	1.00000	14.20694	34.15939	41.59%
11.83251	13.01008	0.56180	1.00000	14.57188	34.46086	42.29%
11.13476	13.42390	0.55765	1.00000	14.98155	33.86633	44.24%
11.35181	13.82721	0.57279	1.00000	15.40000	34.53073	44.60%
6.91756	14.62089	1.12551	1.00000	16.74640	30.86254	54.26%
6.91757	11.55046	1.41594	1.00000	13.96640	27.97268	49.93%
6.91755	11.18887	1.17162	1.00000	13.36049	27.37483	48.81%
6.91757	11.3074	1.05496	1.00000	13.36236	27.44506	48.69%
6.91754	12.20076	0.64693	1.00000	13.84769	28.43789	48.69%
6.91757	12.55248	0.65446	1.00000	14.20694	29.18098	48.69%
6.97156	12.77376	0.43318	1.00000	14.20694	28.91704	49.13%
6.91757	13.01008	0.56180	1.00000	14.57188	29.54592	49.32%
8.10000	13.42390	0.55765	1.00000	14.98155	30.83157	48.59%
6.98609	13.82721	0.57279	1.00000	15.40000	30.16501	51.05%

**Waterloo Community School District
Top Ten Property Taxpayers
Current Year and Nine Years Ago**

Table 8

Taxpayers	Type of Business	FY 2025 Taxable Value	Percentage of 2025 Total Taxable Valuation*	Percentage of Total Taxable Value	FY 2016 Taxable Value	Percentage of 2016 Taxable Valuation	Percentage of Total Taxable Value
Deere & Company	Manufacturing	\$ 68,335,025	1.28%	23.47%	\$ 49,071,461	1.98%	19.18%
GLP Capital	Casino	57,945,180	1.08%	19.90%	48,937,500	1.97%	19.13%
Con Agra	Food processing	31,436,147	0.59%	10.80%	19,951,236	0.81%	7.80%
Northern Natural Gas Co.	Utilities	-	-	-	18,919,760	0.76%	7.39%
IBP, Inc.	Meat processing	21,003,902	0.39%	7.21%	15,531,098	0.63%	6.07%
Menard, Inc.	Retail	26,623,364	0.50%	9.14%	23,212,257	0.94%	9.07%
Ferguson Enterprises, Inc.	Manufacturing	19,384,131	0.36%	6.66%	18,636,903	0.75%	7.28%
VGM Management	Health Care	19,894,557	0.37%	6.83%	-	-	-
FDP WTC LLC	Developer	15,360,338	0.29%	5.28%	-	-	-
Bertch Cabinet LLC	Manufacturing	13,518,233	0.25%	4.64%	14,746,095	0.60%	5.76%
Waterloo Owner LLC	Retail	-	-	-	32,155,128	1.30%	12.57%
Howard L Allen Investments	Manufacturing	-	-	-	14,712,882	0.59%	5.75%
Totals		<u>\$ 291,143,903</u>	<u>5.44%</u>	<u>100.00%</u>	<u>\$ 255,874,320</u>	<u>10.33%</u>	<u>100.00%</u>

*2025 total net taxable valuation of \$2,703,443,320 (without gas and electric utility value) and excluding tax increment financing (TIF) property

**Waterloo Community School District
Property Tax Levies and Collections
Last Ten Fiscal Years**

Table 9

Levy Years	Fiscal Year	Taxes Levied for the Fiscal Year	Collected within the Fiscal Year of the Levy		Collections in Subsequent Years	Total Collections to Date	
			Amount	Percentage of Levy		Amount	Percentage of Levy
2023	2024-25	\$ 39,324,885	\$ 39,324,885	100.00%	\$ -	\$ 39,324,885	100.00%
2022	2023-24	36,810,836	36,810,836	100.00%	-	36,810,836	100.00%
2021	2022-23	38,927,425	38,927,425	100.00%	-	38,927,425	100.00%
2020	2021-22	39,413,649	39,413,649	100.00%	-	39,413,649	100.00%
2019	2020-21	39,888,502	39,888,502	100.00%	-	39,496,191	99.02%
2018	2019-20	40,174,005	39,496,191	98.31%	-	39,496,191	98.31%
2017	2018-19	39,669,878	39,665,677	99.99%	-	39,665,677	99.99%
2016	2017-18	40,980,631	40,980,631	100.00%	-	40,980,631	100.00%
2015	2016-17	41,068,462	41,042,810	99.94%	-	41,042,810	99.94%
2014	2015-16	41,010,189	40,879,253	99.68%	-	40,879,253	99.68%

**Waterloo Community School District
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years
(Unaudited)**

Table 10

Year Ended June 30,	Governmental Activities		Personal Income*	Ratio of Outstanding Debt to Personal Income
	Revenue Bonds and Unamortized Bond Premiums/Discounts	SBITA Payable		
2016	\$ 76,089,554	\$ -	\$ 4,550,102,593	0.0167
2017	69,673,800	-	4,695,265,800	0.0148
2018	79,949,948	-	4,804,787,520	0.0166
2019	76,065,096	-	4,495,807,660	0.0169
2020	71,097,244	-	4,422,451,530	0.0161
2021	91,715,127	-	4,010,721,364	0.0229
2022	85,382,293	-	4,086,645,696	0.0209
2023	79,146,311	-	4,244,196,646	0.0186
2024	73,781,329	187,266	4,618,673,400	0.0160
2025	157,046,979	100,633	6,255,805,518	0.0251

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

**Waterloo Community School District
Ratio of Net General Bonded
Debt Outstanding
Last Ten Fiscal Years
(Unaudited)**

Table 11

Years Ended June 30,	Governmental Activities		Restricted Debt Service	Percentage of Actual Assessed Value of Property	Total Debt Per Capita*
	Revenue Bonds	SBITA Payable			
2016	\$ 76,089,554	\$ -	\$ -	1.94%	\$ 569
2017	69,673,800	-	-	1.75%	515
2018	79,949,948	-	-	3.08%	588
2019	76,065,096	-	-	2.95%	573
2020	71,097,244	-	-	2.39%	538
2021	91,715,127	-	-	3.08%	699
2022	85,382,293	-	20,836,045	3.16%	651
2023	79,146,311	-	20,870,544	2.88%	447
2024	73,781,329	187,266	20,870,544	2.68%	406
2025	157,046,979	100,633	31,394,498	5.71%	937

* Personal income and population data can be found in the Schedule of Demographic and Economic Statistics.

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Waterloo Community School District
Direct and Overlapping Governmental Activities Debt
As of June 30, 2025
(Unaudited)

Table 12

Name of Governmental Unit	Total Gross Debt Outstanding (Including Known Unamortized Bond Premiums/ Discounts)	Percentage Applicable to Waterloo Community School District	Overlapping Debt*	Direct Debt	Total Direct and Overlapping Debt
Black Hawk County	\$ 16,401,298	49.20%	\$ 8,069,439	\$ -	\$ 8,069,439
City of Cedar Falls	14,150,000	2.41%	341,015	-	341,015
City of Evansdale	11,720,000	100.00%	11,720,000	-	11,720,000
City of Waterloo	152,829,773	97.20%	148,550,539	-	148,550,539
City of Gilbertville	1,684,000	100.00%	1,684,000	-	1,684,000
City of Elk Run Heights	1,245,000	100.00%	1,245,000	-	1,245,000
Hawkeye Community College	19,050,000	27.91%	5,316,855	-	5,316,855
Subtotal	<u>217,080,071</u>		<u>176,926,848</u>	<u>-</u>	<u>176,926,848</u>
Waterloo Community School District	157,046,979	100.00%	<u>-</u>	<u>157,046,979</u>	<u>157,046,979</u>
Total			<u><u>\$ 176,926,848</u></u>	<u><u>\$ 157,046,979</u></u>	<u><u>\$ 333,973,827</u></u>

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the District. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of the District. This process recognizes that, when considering the government's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident and, therefore, responsible for repaying the debt, of each overlapping government.

* The percentage of overlapping debt applicable is estimated using taxable property values. Applicable percentages were estimated by determining the portion of another governmental unit's taxable value that is within the District's boundaries and dividing it by each unit's total taxable value.

**Waterloo Community School District
Legal Debt Margin Information
Last Ten Fiscal Years
(Unaudited)**

	Fiscal Year			
	2016	2017	2018	2019
Total Assessed Valuation	<u>\$ 4,089,863,656</u>	<u>\$ 4,182,838,361</u>	<u>\$ 4,268,208,420</u>	<u>\$ 4,752,948,771</u>
Debt limit 5% of total assessed value	\$ 204,493,183	\$ 209,141,918	\$ 213,410,421	\$ 237,647,439
Amount of debt application to debt limit, total general obligation bonded debt	<u>75,754,539</u>	<u>69,539,539</u>	<u>79,842,539</u>	<u>75,984,539</u>
Excess of Debt Limit Over Bonded Debt Outstanding Legal Debt Margin	<u>\$ 128,738,644</u>	<u>\$ 139,602,379</u>	<u>\$ 133,567,882</u>	<u>\$ 161,662,900</u>
Amount of Debt Applicable to Debt Limit as a Percentage of Debt Limit	<u>37.05%</u>	<u>33.25%</u>	<u>37.41%</u>	<u>31.97%</u>

* Excludes tax increment financing (TIF) property.

Table 13

Fiscal Year					
2020	2021	2022	2023	2024	2025
<u>\$ 4,762,395,088</u>	<u>\$ 4,807,929,611</u>	<u>\$ 4,768,622,033</u>	<u>\$ 4,508,329,430</u>	<u>\$ 4,182,838,361</u>	<u>\$ 6,295,061,175</u>
\$ 238,119,754	\$ 240,396,481	\$ 238,431,102	\$ 225,416,472	\$ 209,141,918	\$ 314,753,059
<u>71,043,539</u>	<u>88,498,539</u>	<u>82,412,539</u>	<u>76,396,539</u>	<u>73,781,329</u>	<u>157,046,979</u>
<u>\$ 167,076,215</u>	<u>\$ 151,897,942</u>	<u>\$ 156,018,563</u>	<u>\$ 149,019,933</u>	<u>\$ 135,360,589</u>	<u>\$ 157,706,080</u>
<u>29.84%</u>	<u>36.81%</u>	<u>34.56%</u>	<u>33.89%</u>	<u>35.28%</u>	<u>49.90%</u>

**Waterloo Community School District
Pledged Revenue Coverage
Last Ten Fiscal Years
(Unaudited)**

Table 14

Year Ended June 30,	Local Options Sales Tax Revenue Bonds				
	Revenue	Debt Service		Coverage	
		Principal	Interest (Net of Credits)		
2016	\$ 10,622,853	\$ 2,760,000	\$ 2,567,822	1.99	
2017	10,477,446	4,930,000	2,572,701	1.40	
2018	10,092,844	6,364,000	1,375,813	1.30	
2019	11,153,675	3,858,000	1,693,742	2.01	
2020	11,170,519	4,941,000	1,605,513	1.71	
2021	10,845,298	5,145,000	1,525,812	1.63	
2022	12,830,461	7,459,000	1,999,270	1.36	
2023	14,611,671	6,016,000	1,560,098	1.93	
2024	14,137,541	5,145,000	1,528,288	2.12	
2025	14,194,731	5,220,000	1,379,180	2.15	

**Waterloo Community School District
Demographic and Economic Statistics
Last Ten Fiscal Years
(Unaudited)**

Table 15

Fiscal Year	Population*	Personal Income	Per Capita Personal Income	Unemployment Rate
2016	133,799	\$ 4,550,102,593	\$ 34,007	5.0%
2017	135,400	4,695,265,800	34,677	4.2%
2018	135,882	4,804,787,520	35,360	2.9%
2019	132,745	4,495,807,660	33,868	2.7%
2020	132,195	4,422,451,530	33,454	8.7%
2021	131,228	4,010,721,364	30,563	5.0%
2022	130,368	4,086,645,696	31,347	2.7%
2023	130,274	4,244,196,646	32,579	3.1%
2024	130,471	4,618,673,400	35,400	3.1%
2025	133,517	6,255,805,518	46,854	4.9%

* Population for Black Hawk County

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**Waterloo Community School District
Principal Employers
Current Year and Nine Years Ago
(Unaudited)**

Table 16

Name	Product/Service	2025			2016		
		Employees	Rank	Percentage of Total Employment	Employees	Rank	Percentage of Total Employment
Deere & Company	Manufacturing	4,650	1	20.92%	5,500	1	25.45%
UnityPoint Health	Health care	3,591	2	16.16%	2,520	4	11.66%
Tyson Fresh Meats	Food processing	2,980	3	13.41%	2,910	2	13.46%
MercyOne fka Wheaton Franciscan Waterloo Community School District	Health care	2,459	4	11.06%	2,893	3	13.38%
Target Distribution	Education	1,800	5	8.10%	1,604	7	7.42%
University of Northern Iowa	Distribution	1,700	6	7.65%	950	8	4.40%
Hy-Vee Food Stores	Higher education	1,560	7	7.02%	1,819	5	8.42%
Cedar Falls Community School District	Grocery	1,217	8	5.48%	1,719	6	7.95%
Western Home Communities	Education	1,353	9	4.94%	-	-	0.00%
City of Waterloo	Senior Living	915	10	4.12%	-	-	-
CBE Companies	Local Government	-	-	-	800	10	3.70%
	Financial	-	-	-	900	9	4.16%
Total		<u>22,225</u>			<u>21,615</u>		

**Waterloo Community School District
Full-Time Equivalent District Employees
Last Ten Fiscal Years
(Unaudited)**

	Fiscal Years				
	2016	2017	2018	2019	2020
Administration					
Superintendent	1.0	1.0	1.0	1.0	1.0
Assistant superintendent	2.0	2.0	2.0	1.0	1.0
Principals	18.0	18.0	18.0	18.0	18.0
Assistant principals	19.0	18.0	18.0	17.0	17.0
Other administrators	13.9	13.9	13.2	13.5	12.0
Total Administration	53.9	52.9	52.2	50.5	49.0
Instruction					
Teachers	833.0	837.0	830.0	840.1	836.0
Counselors	31.0	30.0	30.0	30.0	30.0
Librarians	10.0	12.0	12.0	13.0	13.0
Teacher leaders	25	20	20	20	20
Total Instruction	899.0	899.0	892.0	903.1	899.0
Other					
Clerical-Teacher Associates	384.6	344.7	356.0	400.0	443.0
Crafts/Trades	25.0	25.0	24.0	25.0	24.0
Other support	267.8	272.5	287.0	281.8	291.8
Total Support	677.4	642.2	667.0	706.8	758.8
Total*	1,630.3	1,594.1	1,611.2	1,660.4	1,706.8

* FTE (full-time equivalent)

Note: District FTE by function/program not available.

Table 17

Fiscal Years				
2021	2022	2023	2024	2025
1.0	1.0	1.0	1.0	1.0
1.0	1.0	1.0	-	-
18.0	18.0	18.0	18.0	17.0
17.9	19.0	21.0	21.0	22.0
16.0	13.0	13.0	17.0	21.0
53.9	52.0	54.0	57.0	61.0
840.0	819.4	832.6	852.0	828.1
30.0	32.3	33.0	33.0	30.0
14.0	15.0	15.0	15.0	17.0
25	43	43	45	36
909.0	910.0	923.6	945.0	911.1
406.6	412.3	414.7	418.4	512.4
25.0	26.0	26.0	24.0	25.0
327.9	287.4	316.0	312.0	301.4
759.5	725.7	756.7	754.4	838.7
1,722.4	1,687.7	1,734.3	1,756.4	1,810.8

Waterloo Community School District
Full-Time Equivalent and Salary Information for District Instructional Staff
As of June 2025
(Unaudited)

Degree	BA		BA+15		BA+30	
	FTE	Salary	FTE	Salary	FTE	Salary
Step	1	- \$ 38,825	-	\$ 40,766	-	\$ 42,708
	2	- 40,378	-	42,319	-	44,261
	3	- 41,931	-	43,872	-	45,814
	4	- 43,484	-	45,425	-	47,367
	5	- 45,037	-	46,978	-	49,308
	6	- 46,590	-	48,920	-	51,249
	7	78.0 48,531	-	50,861	0.0	53,190
	8	52.0 50,473	1.0	52,802	0.0	55,132
	9	90.0 52,414	20.0	54,743	5.0	57,073
	10	37.0 54,355	10.0	56,685	3.0	59,014
	11	7.0 56,296	0.0	58,626	1.0	60,955
	12	5.0 57,461	0.0	60,567	1.0	62,897
	13	8.7 58,626	3.0	62,120	1.0	64,838
	14	9.0 59,014	5.0	62,508	2.0	65,614
	15	4.0 59,791	3.0	63,285	0.0	66,391
	16	9.0 60,179	0.0	63,673	2.0	66,779
	17	15.0 60,567	3.0	64,061	1.0	67,556
	18	3.0 60,955	2.0	64,450	2.0	68,332
	19	2.0 61,344	3.0	64,838	1.0	68,720
	20	3.0 61,732	0.0	65,226	2.0	69,497
	21	13.0 62,120	12.0	65,614	41.0	70,273
Total	335.7		62.0		62.0	
Total Full-Time Equivalents						

Degree	BA		BA+15		BA+30	
	FTE x Salary		FTE x Salary		FTE x Salary	
Step	1	\$ -	\$ -		\$ -	
	2	-	-		-	
	3	-	-		-	
	4	-	-		-	
	5	-	-		-	
	6	-	-		-	
	7	3,785,438	-		-	
	8	2,624,570	52,802		-	
	9	4,717,238	1,094,865		285,364	
	10	2,011,135	566,845		177,042	
	11	394,074	-		60,955	
	12	287,305	-		62,897	
	13	508,285	186,360		64,838	
	14	531,126	312,541		131,229	
	15	239,162	189,854		-	
	16	541,609	-		133,558	
	17	908,505	192,184		67,556	
	18	182,866	128,899		136,664	
	19	122,687	194,513		68,720	
	20	185,195	-		138,994	
	21	807,560	787,371		2,881,203	
Total	\$ 17,846,754		\$ 3,706,235		\$ 4,209,018	
Average Salary					\$ 64,350	

Table 18

MA		MA+15		MA+30		MA+45	
FTE	Salary	FTE	Salary	FTE	Salary	FTE	Salary
-	\$ 44,649	-	\$ 46,590	-	\$ 48,531	-	\$ 50,473
-	46,202	-	48,143	-	50,473	-	52,414
-	47,755	-	50,084	-	52,414	-	54,355
-	49,696	-	52,026	-	54,355	-	56,296
-	51,637	-	53,967	-	56,296	-	58,238
-	53,579	-	55,908	-	58,238	-	60,179
5.0	55,520	0.0	57,849	-	60,179	-	62,120
8.0	57,461	1.0	59,791	-	62,120	-	64,061
30.8	59,402	1.0	61,732	0.0	64,061	4.0	66,003
23.0	61,344	5.0	63,673	6.0	66,003	-	67,944
13.0	63,285	1.0	65,614	1.0	67,944	4.0	69,885
12.0	65,226	1.0	67,556	3.0	69,885	6.0	71,826
7.0	67,167	2.0	69,497	3.0	71,826	3.0	73,768
10.0	68,332	5.0	70,662	3.0	72,991	-	75,709
9.0	69,109	10.0	71,826	5.0	74,544	5.0	77,650
16.0	69,885	3.0	72,991	3.0	75,709	8.0	78,815
13.0	70,662	3.0	74,156	3.0	77,262	7.0	79,980
7.0	71,438	3.0	75,321	3.0	78,427	6.0	81,533
5.0	72,215	2.0	76,097	1.0	79,591	4.0	82,697
11.0	72,991	2.8	77,262	4.0	80,756	5.0	83,862
37.0	73,768	26.0	78,427	18.0	81,921	67.9	85,027
<u>206.8</u>		<u>65.8</u>		<u>53.0</u>		<u>119.9</u>	
						<u>905.1</u>	
MA		MA+15		MA+30		MA+45	
FTE x Salary		FTE x Salary		FTE x Salary		FTE x Salary	
\$ -		\$ -		\$ -		\$ -	
-		-		-		-	
-		-		-		-	
-		-		-		-	
-		-		-		-	
-		-		-		-	
277,599		-		-		-	
459,688		59,791		-		-	
1,829,589		61,732		-		264,010	
1,410,901		318,365		396,015		-	
822,702		65,614		67,944		279,540	
782,712		67,556		209,655		430,958	
470,171		138,994		215,479		221,303	
683,320		353,308		218,973		-	
621,977		718,263		372,720		388,250	
1,118,160		218,973		227,126		630,518	
918,600		222,467		231,785		559,857	
500,066		225,962		235,280		489,195	
361,073		152,194		79,591		330,789	
802,901		212,470		323,024		419,310	
2,729,398		2,039,089		1,474,574		5,771,616	
<u>\$ 13,788,854</u>		<u>\$ 4,854,775</u>		<u>\$ 4,052,165</u>		<u>\$ 9,785,344</u>	
		Total Salaries				<u>\$ 58,243,145</u>	

**Waterloo Community School District
Operating Statistics
Last Ten Fiscal Years
(Unaudited)**

Table 19

Year	Operating Expenditures*	Daily Average Attendance	Resident Students	Operating Cost Per Resident Student	Pupil/Teacher Ratio		
					Elementary	Middle	High School
2016	\$ 124,746,081	10,250	10,936	\$ 11,407	11.80	10.80	12.00
2017	122,046,437	10,135	10,835	11,264	12.10	11.20	12.10
2018	128,146,481	10,149	10,879	11,779	12.10	11.80	12.40
2019	135,476,165	10,101	10,777	12,571	12.90	12.60	13.90
2020	138,916,971	-	10,865	12,786	10.64	12.41	13.14
2021	142,306,249	-	10,633	13,383	11.34	12.58	15.08
2022	152,655,437	-	10,681	14,292	13.34	14.58	17.08
2023	159,641,560	-	10,672	14,959	12.11	13.76	15.36
2024	169,465,652	-	10,672	15,879	12.11	13.76	15.36
2025	173,448,935	8,638	10,812	16,042	10.60	11.10	12.10

* Includes only General Fund expenditures, including AEA flowthrough

** Attendance - COVID Affected

Note: This is the most recent information available for table presentation.

**Waterloo Community School District
School Building Information
As of June 30, 2025
(Unaudited)**

Table 20

Name of School	Dates Constructed	Grades Served With Special Education	Building and Certified Enrollment Third Friday in September, 2024	Number of Classrooms
Preschool/Elementary Schools				
Preschool		Pre-K	421	-
Becker	2011, 2014	K-5	466	27
Cunningham	2002	K-5	411	29
Highland	2010	K-5	413	32
Irving	2003	K-5	353	30
Kingsley	1919, 1952, 1958, 2006	K-5	335	24
Kittrell	1950, 1955, 1960, 1962, 2009	K-5	498	33
Lincoln	2004	K-5	429	29
Lou Henry	2005	K-5	458	30
Lowell	1931, 2005, 2007, 2009, 2022	K-5	391	32
Orange	1915, 1951, 1954, 2014, 2015	K-5	469	31
Poyner	2007	K-5	329	49
			<u>4,973</u>	<u>346</u>
Middle Schools				
Bunger	1964, 2004, 2014	6-8	437	45
Carver	2009	6-8	455	36
Central	1972, 1980, 1991, 1994, 2006, 2008, 2017	6-8	466	67
Hoover	1967, 2004, 2008, 2014, 2015	6-8	847	54
			<u>2,205</u>	<u>202</u>
High Schools				
East	1916, 1939, 1954, 1955, 1956, 1962, 1975, 1986, 1988, 2002, 2004, 2009, 2013	9-12	1,005	74
West	1955, 1962, 1980, 2002, 2009	9-12	1,684	82
Alternative High School and Other Programs				
Expo	1952, 1961, 2000	6-12	549	47
Waterloo Career Center	2018, 2023, 2025		-	43
			<u>3,238</u>	<u>246</u>
Subtotal			10,416	794
Open enrollment/tuition in			(67)	-
Resident students attending outside the district			691	-
PreK numbers not on certificate enrollment			<u>(228)</u>	-
Totals			<u>10,812</u>	<u>794</u>
Other Facilities - Nonstudent Occupancy				
Educational Service Center	1964			
Maintenance, Transportation	1964, 1970, 1979			
Stadium	1994			
Bus Garage	2015			
Information Technology	2016			
Leased or Nonoccupied Facilities				
Castle Hill	1955, 1957, 1958			

* student and included in East and West numbers above

Waterloo Community School District
Building and Certified Resident Student Enrollment by Grade
Last Ten Fiscal Years
(Unaudited)

Grade	Fiscal Year				
	2025	2024	2023	2022	2021
Pre-K	421	466	504	72	71
Kindergarten	838	750	748	832	747
1	786	818	808	732	817
2	734	717	713	772	793
3	763	761	754	756	787
4	688	742	753	760	789
5	743	778	764	769	801
6	757	751	745	778	785
7	748	765	756	793	799
8	751	804	783	811	796
9	1,130	1,090	1,152	1,195	985
10	810	902	919	781	853
11	704	716	712	714	744
12	543	586	566	493	570
Special education	-	-	-	-	-
Subtotal	10,416	10,646	10,677	10,258	10,337
Open enrollment in	(67)	(96)	(76)	(50)	(40)
Open enrollment out	691	648	575	473	336
Pre-K	(228)	(466)	(504)	-	-
Totals	10,812	10,732	10,672	10,681	10,633

* The District has adopted an inclusionary philosophy regarding special education students so they are included in the appropriate grade.

Table 21

Fiscal Year				
2020	2019	2018	2017	2016
105	115	113	136	140
846	799	854	844	872
802	841	837	858	871
821	818	847	869	871
803	841	851	842	900
809	821	837	875	825
821	827	853	797	774
821	802	799	752	773
796	783	760	769	735
786	777	769	726	717
975	947	958	855	878
799	828	781	765	810
756	737	701	756	776
608	543	606	649	643
-	-	-	-	-
10,548	10,479	10,566	10,493	10,585
(32)	(41)	(40)	(42)	(46)
349	339	353	384	397
-	-	-	-	-
10,865	10,777	10,879	10,835	10,936

Waterloo Community School District Miscellaneous Information

Waterloo Community School District includes the cities of Waterloo, Evansdale, Elk Run Heights, Gilbertville and Raymond, part of the City of Cedar Falls and certain unincorporated area in Black Hawk, County, including Mt. Vernon, Bennington, East Waterloo, Poyner, Cedar and Orange Townships, encompassing a total of 150 square miles. Black Hawk County is located in northeast Iowa and was named for the famous Native American leader Black Hawk (1767-1838), the principal figure in the Black Hawk War of 1832. The first permanent residents of Black Hawk County were the Sturgis and Adams families who settled here in 1845. In 1850, the population of Black Hawk County was 135; Cedar Falls was the largest town. Population increased in Waterloo and in 1855, the county seat was moved from Cedar Falls to Waterloo. By 1868, 23,000 acres of land were under cultivation in Black Hawk County. In 1990, the county was the fourth largest in the state, with a population of 123,798. The District operated 19 schools plus early childhood education buildings, an administration building, a maintenance building, warehouse and a bus garage. The following data provides the number of buildings per grade level:

Miscellaneous Information

Table 22

	<u>24-25</u>	<u>23-24</u>	<u>22-23</u>	<u>21-22</u>	<u>20-21</u>	<u>19-20</u>	<u>18-19</u>	<u>17-18</u>	<u>16-17</u>	<u>15-16</u>
Elementary - K-5	11	11	11	11	11	11	11	11	11	11
Middle School - 6-8	4	4	4	4	4	4	4	4	4	4
High School - 9-12	3	3	3	3	3	3	3	3	3	3

The District contracts with First Student to provide student transportation. Approximately 4,585 students are transported daily. On July 1, 2007, school meals were brought in-house serving approximately 1,510,000 meals for the year. Nursing services are provided by Unity Point Health. Driver education is contracted with Street Smarts and Hawkeye Community College.

The Board of Education meets on the second and fourth Mondays of each month during the school year and usually once a month in June and July.

The U.S. Census Bureau reports the population characteristics of Black Hawk County as follows:

Waterloo Community School District Miscellaneous Information

Population Characteristics

Table 22

	2000		2010		2020	
	Number	Percent	Number	Percent	Number	Percent
Total Population	128,012	100.00%	131,090	100.00%	130,368	100.00%
Persons by Gender						
Male	61,458	48.01%	63,710	48.60%	64,402	48.60%
Female	66,554	51.99%	67,380	51.40%	65,966	51.40%
Persons by Race						
White	113,194	88.43%	112,213	85.60%	106,000	85.60%
Black	10,179	79.50%	11,667	8.90%	12,500	8.90%
Other	4,639	36.20%	7,210	5.50%	11,868	5.50%
Persons by Age						
Under 10	15,941	12.45%	16,281	12.43%	15,973	12.43%
10-19	19,401	15.16%	17,689	13.49%	17,795	13.49%
20-29	22,140	17.29%	24,354	18.58%	21,985	18.58%
30-39	15,527	12.13%	14,919	11.38%	16,622	11.38%
40-49	18,421	14.39%	15,065	11.49%	13,754	11.49%
50-59	13,730	10.73%	17,579	13.41%	13,496	13.41%
60-69	9,241	7.22%	12,022	9.17%	15,065	9.17%
70-79	8,242	6.44%	7,264	5.54%	10,610	5.54%
80 and over	5,369	4.19%	5,917	4.51%	5,068	4.51%
Median Age of Population	34.4		34.4		35.8	
Total Households	49,683		51,366		54,689	
Persons Per Household	2.45		2.36		2.30	
Median Household Effective Buying Income	\$33,088		\$42,753		\$54,774	

Work Force

Waterloo/Cedar Falls, Iowa, labor force from Bureau of Labor Statistics, June, 2025; Data

Waterloo Community School District Miscellaneous Information

Statistical Review

Location - accessible by U.S. Highways 20, 63 and 218, as well as State Highways 21, 57, 58 and 281. Interstate 380 links the area with Interstate 80, a major east-west corridor. The community is located on the "Avenue of the Saints," an interstate that connects St. Paul, Minnesota, and St. Louis, Missouri.

Distance in highway miles from the Cedar Valley area:

Statistical Review

Table 22

Atlanta, Georgia	960	Denver, Colorado	790
Boston, Massachusetts	1,300	Kansas City, Missouri	295
Chicago, Illinois	265	Los Angeles, California	1,855
Cleveland, Ohio	650	Minneapolis, Minnesota	180
Dallas, Texas	845	St. Louis, Missouri	345

Climate

Table 22

	<u>Spring</u>	<u>Summer</u>	<u>Fall</u>	<u>Winter</u>
Average Temperature	48.4	70.8	49.9	21.4
Average Rain (inches)	3.4	11.7	2.36	1
Average Snow (inches)	6.6	0	1.3	6.3

**Waterloo Community School District
Miscellaneous Information**

Table 22

Transportation			
Rail Service	Canadian National/Illinois Central and Pacific		
	Iowa Northern Railway		
	Union Pacific		
Airport	Waterloo Regional Airport		
Commercial Carriers	American Airlines		
Business Services			
Hotels and Motels	Rooms		2,163
	Largest Banquet Capacity		2,000
Media	Newspapers	1 daily, 3 weekly	
	Radio Stations		13
	Television Channels Received		7
	Cable Television Providers		2
Telecommunications	Local Operating Companies	Mediacom/CenturyLink	
	Points of Presence (local)	MCI and AT&T	
	Local Internet Service Providers		31
Recreation and Sporting Activities	Public Parks		40
	Dog Parks		3
	Municipal Golf Courses		10
	Disc Golf Courses		5
	Public Swimming Pools/Aquatic Centers		7
	Public Tennis Courts		30
	Softball/Baseball Diamonds		23
	Ice Skating/Hockey Arenas		1
	Campgrounds: Sites		12:560
	Public Boat Launches		15
	Soccer Complex: Fields (Outdoor)		5
	Soccer Fields (Indoor)		1
	Inclusive Park		1
	Theme Park (Outdoor)		1
	Water Parks (Outdoor)		2
Arts and Culture	Museums		15
	Public Libraries		7
	Visual Arts and Galleries		2
	Performing Arts Venues		8
	Youth Museums		2
	Symphony Orchestra		2
Household Income	Real Median Household Income -	\$	49,430
	Waterloo/Cedar Falls		

**Waterloo Community School District
Miscellaneous Information
Cost of Living Comparisons**

Table 22

	<u>Grocery</u>	<u>Housing</u>	<u>Utilities</u>	<u>Trans- portation</u>	<u>Health Care</u>	Miscel- laneous Goods and Services
Chicago, IL	108	275	120	118	113	122
Madison, WI	103	201	123	108	119	123
Minneapolis, MN	107	188	120	106	101	110
Waterloo/Cedar Falls, IA	95.0	80	84.0	92	94	86

Waterloo Community School District Miscellaneous Information

Community and Economic Development

The Iowa Northland Regional Council of Governments was formed in 1973 and is organized pursuant to Chapter 28E, State Code of Iowa. Their service area is a six-county area, including Black Hawk County. Their major functions are:

- To increase the coordination of programs between the local governments.
- To promote regional and metropolitan long-range planning.
- To provide a forum for the discussion of common interest, problems and concerns of the local governments.
- To provide mechanism for legally reviewing federal and state grant and aid programs for the cities and counties in the region.

Grow Cedar Valley provides leadership in Black Hawk County for creating jobs through expansion of existing businesses and industries, new business formation and relocation of companies. It is governed by a Board of Directors, representing a wide geographical representation.

In Fiscal Year 2024, Waterloo had the 5th highest construction total in it's history and the 2nd highest housing total.

Special Attractions/Activities

The National Park Service has designated a large part of the northeast Iowa, including the Cedar Valley area, as a national heritage park area. This designation is for the express purpose of telling the story of America's agricultural and industrial revolution, resulting in significant tourism. Silos and Smokestacks is a private nonprofit organization, funded by city, state and federal funds and private contributions. Existing agricultural sites (National Cattle Congress, Rath facility, farms, etc.) are also being using as tourist attractions.

The county boasts of 8,600 park acres in 190 parks including Black Hawk Park, Hickory Hills Park, McFarlane Park, Paw Park, Hartman Reserve Nature Center, George Wyth State Park, Sturgis Park, Sullivan Park and Cedar Valley Nature Trail. The Cedar Valley Nature Trail winds along the Cedar River bottomlands between Waterloo and Cedar Rapids and has 106 miles of hard-surfaced trails, 10 miles of water trails and emerging network of soft trails. The Cedar Valley Lakes and Trails project is a cooperative venture which resulted in the creation of an 800-acre "Chain of Lakes" along a ten-mile Cedar River corridor in the Waterloo/Cedar Falls area.

The area also features a variety of performing arts centers including the Oster Regent Theatre, Waterloo Community Playhouse, Black Hawk Children's Theatre, Strayer-Wood Theatre at the University of Northern Iowa, Waterloo/Cedar Falls Symphony Orchestra, the UNI School of Music, Lampost Theatre and Coffee Co., the RiverLoop Amphitheatre and Hawse Auditorium at Hawkeye Community College.

The University of Northern Iowa is home to 115,000 square foot Gallagher-Bluedorn Performing Arts Center. The main auditorium can accommodate 1,680 concert goers, with each seat less than 100 feet from the stage and no more than 30 degrees off center.

Waterloo Community School District Miscellaneous Information

Community and Economic Development (Continued)

The Isle of Capri Casino and Hotel is a tropical paradise offering 950 slots, including more than 75 video poker machines, 27 table games, 3 restaurants, a feature bar, resort pool, spa and 600-seat entertainment venue. The hotel has 195 rooms and 27 suites.

The Phelps Youth Pavilion is a 39,000 square foot children's museum filled with creative, hands-on experiences for children of all ages.

Other Attractions

- Antique Acres
- Behrens-Rapp Visitor Information Station
- Black Hawk Tennis Club
- Bluedorn Science Imaginarium
- Byrnes Park Tennis Center
- Cedar Valley Arboretum and Botanic Gardens
- Cedar Valley Soccer Complex
- Cedar Valley Sportsplex
- County Gentleman's Horse and Carriage Service, Inc.
- Farmers Markets
- Five Sullivan Brothers Convention Center
- Full Court Sports Academy
- George Wyth House
- Get Air Waterloo
- Grout Museum of History and Science
- Hansen's Farm Fresh Dairy
- Hawkeye Community College
- Hearst Center for the Arts and Sculpture Garden
- Ice House Museum
- John Deere Operations
- John Deere Tractor and Engine Museum
- John Livingston Display
- Little Red School House Museum
- Lost Island Adventure Park
- Mark's Park
- Marshall Center One-Room School
- McLeod Center
- Metropolitan Chorale
- National Wrestling Hall of Fame/Dan Gable Museum
- Rensselaer Russell House Museum
- River Front Stadium
- RiverLoop Public Market Co-op
- RiverLoop, Arts Malls and Mark's Park
- Sullivan Brothers Iowa Veterans Museum
- Sunrise Exchange Club Children's Petting Zoo
- Tailgrass Prairie Center
- The Falls Aquatic Center

**Waterloo Community School District
Miscellaneous Information**

Community and Economic Development (Continued)

Other Attractions (Continued)

- UNI Botanical Center
- UNI-Dome
- UNI-Gallery of Art
- UNI Wellness/Recreation Center
- Victorian Home and Carriage House Museum
- Viking Pump Museum
- WaterHawks Ski Team
- Waterloo Black Hawks Hockey Team
- Waterloo Bucks Baseball Team
- Waterloo Center for the Arts
- Waterloo Municipal Band Concerts
- Young Arena

Special Events

July

- Fiesta!
- Mayor's Downtown Fireworks Festival
- Summer Soul Classic
- North Ends Arts and Music Festival
- Waterloo Open Golf Tournament

August

- CedarLoo Slam at Riverside Skate Park
- Cedar Valley Pridefest
- Iowa Irish Fest
- Food Truck Festival

September

- Artapalooza
- National Cattle Congress Fair
- Iowa OktoberFest

October

- Strolling with the Spirits
- Trick or Treat

November

- Festival of Trees
- Holiday Arts Festival
- Holiday Hoopla
- Iowa High School Football Playoffs
- Waterloo Lights the Night

**Waterloo Community School District
Miscellaneous Information**

Community and Economic Development (Continued)

Special Events (Continued)

December

- Battle of Waterloo Wrestling Tournament
- Holiday Hoopla Continues
- Winter Wonder'loo Continues

January

- Iowa Boat, RV, and Vacation Show
- Iowa Fat Bike Race & Iowa Games Snowshoe 5K & 10K

February

- Ice Harvest Festival
- Hawkeye Farm Show

March

- Eastern Iowa Sport Show
- First Regional Robotics Competition
- Funky Junk-A-Loo
- Maple Syrup Festival
- World's Greatest Spring Break for Kids

April

- Iowa Eats & Drink Festival

May

- 4th Street Cruise
- Girls Night Out
- Veteran's Memorial Day Parade

June

- College Hill Arts Festival
- My Waterloo Days Festival
- Sturgis Falls Celebration/Cedar Basin Music Festival

**Waterloo Community School District
Insurance Schedule
As of June 30, 2025
(Unaudited)**

Table 23

	Coverage	Deductible
School Package Policy, EMC Insurance Companies		
Building and contents, all locations	\$ 572,236,855	\$50,000/1% Wind/Hail
Errors and omissions liability	2,000,000	25,000
Workers' compensation	500,000	400,000
General liability (per occurrence)	2,000,000	-
Personal injury liability	2,000,000	-
Computer fraud (crime)	500,000	5,000
Umbrella liability (stand alone)	3,000,000	10,000
Umbrella liability (group excess)	10,000,000	-
Employee theft	500,000	
Contract maintenance	733,786	5,000
Cyber liability	3,000,000	-
		50,000
Owned Automobile Policy, EMC Insurance Companies		
Liability (each accident)	2,000,000	
Automobile medical payments (each person)	2,000	-
Uninsured motorists bodily injury (each person)	1,000,000	-
Underinsured motorists (each person)	1,000,000	-
Comprehensive	-	-
Collision	-	1,000
Garage keepers	50,000	1,000
		500